

**ASSOCIATED MOTOR FINANCE COMPANY PLC
COLOMBO 02**

**FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31st MARCH 2025**



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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASSOCIATED MOTOR FINANCE COMPANY PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the Financial Statements of Associated Motor Finance Company PLC ("the Company"), which comprise the statement of financial position as at 31st March 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the Financial Statements, including a summary of material accounting policy information as set out on pages 05 to 58.

In our opinion, the accompanying Financial Statements give a true and fair view of the financial position of the Company as at 31st March 2025, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The Financial Statements of Associated Motor Finance Company PLC for the year ended 31st March 2024 were audited by another auditor who expressed an unmodified opinion on those Financial Statements on 31st May 2024.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of the most significance in our audit of the Financial Statements of the current period. These matters were addressed in the context of our audit of the Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters

1 Impairment of loans and lease-related receivables

As at the reporting date, 64% of the total assets of the Company consisted of loans and advances and lease receivables amounting to Rs. 13,608 Mn. This amount is net of provision for impairment allowance of Rs. 1,249 Mn.

This was a key audit matter due to:

- the involvement of significant management judgments, assumptions and level of estimation uncertainty associated in management's expectation of future cash flows to recover such financial assets; and
- the materiality of the reported amount of allowance of expected credit losses and use of complex calculations in its determination.

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Key areas of significant judgments, assumptions and estimates used by management included: assumed future occurrence of events and/ or transactions and forward-looking macroeconomic scenarios and their associated weightages, which are subject to inherently heightened levels of estimation uncertainty.

Related disclosures

Basis of impairment allowance and assumptions used by the management in its calculation, is disclosed in note 2.12 and note 25 and 26.

How Our Audit Addressed the Key Audit Matter

Our audit procedures included the following.

- obtained an understanding on the management process for the determination of impairment of loans and receivables, and evaluated the designing and operating effectiveness of the controls used by the management in that process
- evaluated the model used to calculate impairment allowance to assess its appropriateness
- assessed the completeness and relevance of the underlying information used in the impairment calculation by agreeing details to source documents and information in IT systems
- rechecked the underlying calculations in the model
- assessed the reasonableness of the judgments and assumptions used by management in determining the impairment allowances by corroborating them with data and information available within the Company and publicly available sources, as appropriate
- assessed the adequacy of the disclosures made in notes 25 and 26 of the Financial Statements

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the Financial Statements and the Auditor's Report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information, and in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the audit, or whether it appears to be materially misstated. If, based upon the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of Financial Statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary, to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- conclude on the appropriateness of management's use of the going concern basis of accounting, and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our Auditor's Report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate to them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



From the matters communicated with those charged with governance, we determine those matters that were of the most significance in the audit of the Financial Statements of the current period and are therefore, the key audit matters. We describe these matters in our Auditor's Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit, and as far as it appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4639.

BDO Partners

CHARTERED ACCOUNTANTS

Colombo

08th May 2025

NV/cc

ASSOCIATED MOTOR FINANCE COMPANY PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2025

Page 1

	Note	2024/2025 Rs.	2023/2024 Rs.
Gross income	7	5,619,992,235	5,072,097,014
Interest income		5,556,998,372	4,966,228,032
Less :Interest expenses		(2,276,356,466)	(2,816,229,848)
Net interest income	8	3,280,641,906	2,149,998,184
Fee and commission income	9	46,484,815	54,114,954
Net trading income	10	(295,356)	6,293,206
Other operating income	11	16,804,404	45,460,822
Total operating income		3,343,635,769	2,255,867,166
Less: Impairment charges and other losses	12	(340,247,341)	(457,282,106)
Net operating income		3,003,388,428	1,798,585,060
Less: Operating expenses			
Personnel expenses	13	(806,624,052)	(675,037,914)
Depreciation of property, equipment and amortisation of right-of-use of assets		(75,283,379)	(69,250,261)
Amortisation of intangible assets		(3,414,909)	(2,707,093)
Other operating expenses	14	(340,556,496)	(250,471,092)
Profit before tax on financial services		1,777,509,592	801,118,700
Less : Tax on financial services	15	(526,552,264)	(194,246,795)
Profit before taxation		1,250,957,328	606,871,905
Less: Income tax expense	16	(500,858,867)	(288,588,053)
Net profit for the year		750,098,461	318,283,852
Other comprehensive income/ (expense), net of tax			
Items that will never be reclassified to profit or loss			
Change in fair value of investments in equity at fair value through other comprehensive income			
Net changes in fair value of investment in equity		(1,400,703)	2,151,758
Loss on remeasurement of defined benefit liability		(23,626,912)	(12,846,790)
Total other comprehensive expenses for the year, net of taxes		(25,027,615)	(10,695,032)
Total comprehensive income for the year		725,070,846	307,588,820
Earnings per share			
Basic earnings per share (Rs.)	17	6.62	2.81

Figures in brackets indicate deductions.

The accounting policies and notes on pages from 05 to 58 form an integral part of these Financial Statements.

Colombo
08th May 2025

ASSOCIATED MOTOR FINANCE COMPANY PLC
STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2025

Page 2

	Note	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Assets			
Cash and cash equivalents	21	150,733,173	192,969,203
Financial assets - amortised cost	22	5,587,989,431	6,270,936,008
Financial assets - recognised through profit or loss - measured at fair value	23	-	26,534,372
Loans and receivables	24	398,569,640	498,634,959
Lease rental receivables from customers	25	13,209,698,331	10,541,944,016
Financial assets - measured at fair value through other comprehensive income	27	11,046,206	37,096,782
Investment properties	28	161,100,000	150,000,000
Other assets	29	69,205,660	69,025,822
Property, equipment and right-of-use of assets	30	1,187,542,565	1,120,205,526
Intangible assets	31	11,180,815	14,595,724
Goodwill		385,244,360	385,244,360
Total assets		21,172,310,181	19,307,186,772
Liabilities			
Dues to banks and other borrowings	33	-	723,726,558
Deposits from customers	34	15,548,876,387	14,552,850,301
Trade and other payables	35	1,074,346,056	515,758,598
Current tax liability	36	400,117,235	103,998,753
Retirement benefit obligations	37	139,797,235	93,567,035
Deferred tax liabilities	32	41,731,909	74,915,015
Total liabilities		17,204,868,822	16,064,816,260
Equity			
Stated capital	38	611,273,941	611,273,941
Retained earnings	39	3,122,324,896	2,286,168,002
Other reserves	40	233,842,522	344,928,569
Total equity		3,967,441,359	3,242,370,512
Total liabilities and equity		21,172,310,181	19,307,186,772
Net asset value per share (Rs.)		35.01	28.61

The accounting policies and notes on pages from 05 to 58 form an integral part of these Financial Statements.

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

sgd.

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T.M.A. Sallay

Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board.

sgd.

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A.S. Dayawansa

Director

sgd.

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J.P.I.S. Dayawansa

Director

Colombo
08th May 2025

ASSOCIATED MOTOR FINANCE COMPANY PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2025

Page 3

	Stated Capital Rs.	Capital Reserves Rs.	Revaluation Reserve Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Fair Value Reserve Rs.	Regulatory Loss Allowance Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 31 March 2023	611,273,941	32,864,774	31,982,185	1,029,052	113,610,307	13,588,029	111,788,655	2,018,644,749	2,934,781,692
Net profit for the year	-	-	-	-	-	-	-	318,283,852	318,283,852
Other comprehensive income/(expense)	-	-	-	-	-	2,151,758	-	(12,846,790)	(10,695,032)
Transfers to/(from) during the year	-	-	-	-	15,914,193	-	21,999,617	(37,913,810)	-
Balance as at 31 March 2024	<u>611,273,941</u>	<u>32,864,774</u>	<u>31,982,185</u>	<u>1,029,052</u>	<u>129,524,500</u>	<u>15,739,787</u>	<u>133,788,272</u>	<u>2,286,168,002</u>	<u>3,242,370,512</u>
Net profit for the year	-	-	-	-	-	-	-	750,098,461	750,098,461
Other comprehensive expense net of tax	-	-	-	-	-	(1,400,703)	-	(23,626,912)	(25,027,615)
Transfers to/(from) during the year	-	-	-	-	37,504,923	(13,401,997)	(133,788,272)	109,685,346	-
Balance as at 31 March 2025	<u>611,273,941</u>	<u>32,864,774</u>	<u>31,982,185</u>	<u>1,029,052</u>	<u>167,029,423</u>	<u>937,087</u>	<u>-</u>	<u>3,122,324,897</u>	<u>3,967,441,359</u>

The accounting policies and notes on pages from 05 to 58 form an integral part of these Financial Statements.

Colombo
08th May 2025

ASSOCIATED MOTOR FINANCE COMPANY PLC
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2025

Page 4

	2024/2025 Rs.	2023/2024 Rs.
Cash flows from operating activities		
Net profit before taxation	1,250,957,328	606,871,905
Adjustments for;		
Depreciation of property and equipment and amortisation of right of use assets and intangible assets	78,698,288	71,957,353
Profit on disposals of property and equipment	(2,116,883)	(1,738,086)
Fair value gain on investment property	(11,100,000)	(37,000,000)
Provision for bad and doubtful debts	340,247,341	457,282,106
Provision for gratuity	23,890,469	19,864,293
Interest on borrowings	124,901,691	122,675,556
Dividend receipt	(2,072,050)	(1,505,341)
Written off - Loans and advances	(637,398,727)	(325,171,408)
Operating profit before working capital changes	1,166,007,457	913,236,378
Decrease/(increase) in financial investments	733,859,348	(2,383,041,545)
Increase in loans and advances	(2,270,537,610)	(1,063,511,256)
Increase in ROU Asset	(103,316,855)	(32,293,942)
(Increase)/decrease in other assets	(179,838)	28,006,111
Increase in public deposits	996,026,086	2,110,027,548
Increase in trade and other payables	558,587,457	103,978,295
	(85,561,412)	(1,236,834,790)
Cash generated from/(used in) operations	1,080,446,045	(323,598,412)
Income tax paid	(227,526,198)	(194,253,446)
Retirement benefits liabilities paid	(11,413,000)	(2,854,000)
Interest paid	(242,270,206)	-
Net cash generated from/(used in) operating activities	599,236,641	(520,705,859)
Cash flows from investment activities		
Dividends received	2,072,050	1,505,341
Purchase of property and equipment	(39,370,179)	(10,323,128)
Purchase of intangible assets	-	(13,595,263)
Proceeds from disposal of property and equipment	2,183,501	1,870,418
Net cash used in investing activities	(35,114,628)	(20,542,633)
Cash flows from financing activities		
Proceeds on borrowings	-	601,051,002
Repayments of borrowings	(606,358,043)	-
Net cash (used in)/generated from financing activities	(606,358,043)	601,051,002
Net (decrease)/increase in cash and cash equivalents	(42,236,030)	59,802,511
Cash and cash equivalents at the beginning of the year	192,969,203	133,166,692
Cash and cash equivalents at the end of the year	150,733,173	192,969,203
Cash and cash equivalents comprises		
Cash and bank balances	150,733,173	192,969,203
Bank overdrafts	-	-
Cash and cash equivalents at the end of the year	150,733,173	192,969,203

The accounting policies and notes on pages from 05 to 58 form an integral part of these Financial Statements.

1. REPORTING ENTITY

1.1 Corporate information

Associated Motor Finance Company PLC (“The Company”) is a public limited liability Company listed in the Colombo Stock Exchange (CSE). It is a licensed finance Company regulated under the Finance Business Act No. 42 of 2011. The Company was incorporated on 25 July 1962 and domiciled in Sri Lanka under the Companies Act No. 17 of 1982 and re-registered under the Companies Act No. 07 of 2007 under the Company registration No. PB 733 PQ.

The registered office of the Company is located at 89, Hyde Park Corner, Colombo 2.

The shares of the Company have a primary listing on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Parent entity and ultimate parent entity

The Company does not have an identifiable parent of its own.

No. of employees

The total number of employees ending 31 March 2025 was 388. (31 March 2024 - 325).

1.2 Principal activities and nature of operations

The principal business activity is providing finance leasing, hire-purchase asset financing, term loans, Islamic finance, share trading, and mobilisation of public deposits.

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Statement of compliance

The Financial Statements of the Company for the year ended 31 March 2025, have been prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS and LKAS), laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 7 of 2007.

These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

These Financial Statements include the following components:

- statement of profit or loss and other comprehensive income
- statement of financial position
- statement of changes in equity
- statement of cash flows
- Notes to the Financial Statements

2.2 Responsibility for Financial Statements

The Board of Directors is responsible for the preparation and presentation of these Financial Statements of the Company as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

The Board of Directors acknowledges their responsibility as set out in the “Annual Report of the Board of Directors on the Affairs of the Company”, “Directors’ Responsibility for Financial Reporting” and in the certification on the Statement of Financial Position.

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICIES (CONTD...)

2.3 Approval of Financial Statements by the Board of Directors

The Financial Statements of the Company for the year ended 31 March 2025 (including comparatives for 2024) were approved and authorised for issue by the Board of Directors in accordance with the resolution of the Directors on 08th May 2025.

2.4 Basis of measurement

The Financial Statements of the Company have been prepared on the historical cost basis except for the following material items stated in the statement of financial position:

- financial assets recognised through profit or loss - measured at fair value
- financial assets measured at fair value through other comprehensive income
- Investment property measured at fair value
- Liability of defined benefit obligation is recognised at the present value of the defined benefit obligation.
- Freehold land and buildings are measured at cost at the time of acquisition and subsequently at revalued amounts less depreciation. Revalued amounts are the fair values at the date of revaluation.

2.5 Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. The Directors have considered the impact of the present macro-economic conditions, in making this assessment. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.6 Presentation of Financial Statements

These Financial Statements have been presented in compliance with the requirement of the Companies Act No. 7 of 2007 and amendment then to and the Finance Business Act and provided appropriate disclosure as mentioned by the Listing Rules of the CSE.

The assets and liabilities of the Company presented in the statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements.

An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 44 on 'Current and Non Current Analysis of Assets and Liabilities' to these Financial Statements.

2.7 Functional and presentation currency

The Financial Statements of the Company are presented in Sri Lankan rupees (LKR), which is the principle currency of the primary economic environment, in which the Company operates (Company's functional currency).

2.8 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.9 Rounding

The amounts in the Financial Statements have been rounded-off to the nearest Rupee, except where otherwise indicated as permitted by the Sri Lanka Accounting Standard- LKAS 01 on 'Presentation of Financial Statements'.

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICIES (CONTD...)

2.10 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the statement of profit or loss and other comprehensive income, unless required or permitted by an Accounting Standard or Interpretation and as specifically disclosed in the significant accounting policies of the Company.

2.11 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.12 Changes in accounting policies

The accounting policies adopted by the Company are consistent with those used in the previous financial year. Further, the Company has not early adopted any other accounting standard, interpretation or amendment that has been issued but not effective.

2.13 Use of significant accounting judgements, estimation uncertainties and assumptions

The preparation of the Financial Statements of the Company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have significant risks of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and having effects in future periods.

The most significant areas of estimation uncertainties, critical judgments and assumptions in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Company are as follows, whereas the respective carrying amounts of such assets and liabilities are as given in related notes.

2.13.1 Classification of financial assets and liabilities

As per SLFRS 9, the Significant Accounting Policies of the Company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

The entity's business model for managing the financial assets is set out in Note 18.

The contractual cash flow characteristics of the financial assets is set out in Note 18.

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICIES (CONTD...)

2.13.2 Classification of investment properties

Management requires using its judgment to determine whether a property qualifies as an investment property. The Company has developed criteria so it can exercise its judgment consistently. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Company are accounted for as investment properties. On the other hand, a property that is used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as a standalone asset are accounted for as property, plant and equipment. The Company assesses on an annual basis, the accounting classification of its properties taking into consideration the current use of such properties.

2.13.3 Determination of Expected Credit Loss (ECL)

The Company measures loss allowances using both lifetime ECL and 12-month ECL. When estimating ECL Company determines whether the credit risk of a financial asset has increased significantly since initial recognition. For this the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience, informed credit assessment and including forward-looking information.

2.13.4 Fair value of financial instruments with significant unobservable inputs

If there is no quoted price in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants' would take into account in pricing a transaction.

2.13.5 Impairment loss on financial assets

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions of a number of factors and the actual results may differ, resulting in future changes to the allowance.

2.13.6 Useful lifetime of property, plant and equipment

The Company depreciates/amortises the property plant and equipment, investment property and intangible assets using the straight line method over their estimated useful lives after taking into account their estimated residual values. The estimated useful life reflects the management's estimate of the period that the Company intends to derive future economic benefits from the use of the property, plant and equipment, investment property and intangible assets. The residual value reflects the management's estimated amount that the Company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICIES (CONTD...)

2.13.7 Impairment of non financial assets

The Company assesses its non-financial assets, excluding deferred tax assets, at each reporting date to determine whether there is any indication of impairment. If such indications exist, or if annual testing is required, the asset's recoverable amount is estimated as the higher of fair value less costs to sell and value in use. Value in use is determined by discounting future cash flows using a pre-tax rate that reflects current market conditions and specific risks related to the asset. If the carrying amount exceeds the recoverable amount, the asset is written down to its recoverable amount. For all assets other than goodwill, previously recognised impairment losses are reviewed for possible reversal if there is a change in the estimates used to determine the recoverable amount. Any reversal is limited to the amount that would have been recorded had no impairment loss been recognised, and is recognised in profit or loss.

2.13.8 Fair valuation of investment property

Significant judgments and estimates are used to determine the fair value, including comparable sales, future rental income, and discount rates. Details of the Fair Value of Investment Property are given in Note 28.

2.13.9 Revaluation of Property, plant and equipment

The freehold land and building of the Company is reflected at fair value at the date of revaluation less any accumulated impairment losses. The Company engages an independent valuation specialist to determine the fair value of freehold land and building in terms of Sri Lanka Accounting Standard -SLFRS 13, (Fair Value Measurement). The details of freehold land and buildings including methods of valuation are given in Note 30 to the Financial Statements.

2.13.10 SLFRS 16 determination of the lease term for contract with renewal or termination option

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Company has several lease contracts that include extension and termination options. The Company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option. After the commencement date, the Company reassesses the lease term if there is a Significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of Significant leasehold improvements or Significant customisation of the leased asset).

Determination of lease terms and estimating incremental borrowing rate

Details on the basis for determination of lease terms and estimating incremental borrowing rate are given in Note 4.4.1 of the Financial Statements.

Impairment losses on lease rental receivables from customers and loans and receivables

Details of the 'Impairment Losses on Lease rental receivables from customers and Loans and Receivables' are given in Note 26 of the Financial Statements.

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICIES (CONTD...)

2.14 Recognition of deferred tax asset

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available and can be utilised against such tax losses. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.15 Key actuarial assumption relating to defined benefit obligations

The cost of the defined benefit plans are determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases, mortality rates, etc. Due to the long-term nature of these plans, such estimates are subject to significant uncertainties.

2.16 Impact of climate risk

Climate risks are potentially negative on the Company. Climate related risks have a significant effect and the principal risks such as liquidity, material operation risks. It is managed by the Company on an overall status due to its very nature.

2.17 Provisions for liabilities, commitments and contingencies

The Company receives legal claims in the normal course of business. Management has made judgements as to the likelihood of any claim succeeding to make any provision. The time of concluding a legal claim is uncertain, which is the amount of possible outflow of economic benefits. Timing and cost ultimately depends on the due process in respective legal jurisdictions.

Information about significant areas of estimation uncertainty and critical judgments in applying Accounting Policies other than those stated above that have a significant effect on the amount recognised in the financial statements are described in Note 41.

2.18 Events after the reporting period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date on which the financial statements have been authorised for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures have been made in note 42 wherever it is appropriate.

3. FAIR VALUE MEASUREMENT

‘Fair value’ is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted pricing in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

3. FAIR VALUE MEASUREMENT (CONTD...)

The fair value of an asset or a liability is measured using the assumptions that market participants would use the fair value hierarchy when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. External professional valuers are involved for valuation of significant assets such as land and buildings.

An analysis of fair value measurement of financial and non-financial assets and liabilities is provided in Note 20.

4. OTHER ACCOUNTING POLICIES

4.1 Impairment of non financial assets

The carrying amounts of the Company's non financial assets, other than deferred tax assets are reviewed at each Reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment loss had decreased. In such an event the Company estimates the asset's or cash-generating unit's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised, the reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation/ amortisation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in statement of profit or loss.

4. OTHER ACCOUNTING POLICIES (CONTD...)

4.2 Provisions

Provisions are recognised in the statement of financial position when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement.

4.3 Borrowing costs

As per Sri Lanka Accounting Standard- LKAS 23 on 'Borrowing Costs', the Company capitalises borrowing costs that are directly attributable to the acquisition, construction or production of qualifying asset as part of the cost of the asset. A qualifying asset is an asset which takes a substantial period of time to get ready for its intended use or sale. Other borrowing costs are recognised in the statement of profit or loss in the period in which they occur.

4.4 Leases (SLFRS 16)

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company uses the definition of a lease in SLFRS 16.

4.4.1 Company as a lessee

As per SLFRS 16, when the Company determined that a contract contains a lease component and one or more additional lease components or non-lease components, the consideration in the contract is allocated to each lease component on the basis of relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

At the date of commencement, the Company recognises right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the IBR. After initial recognition, the Company applies cost model for the right-of-use of an asset and depreciate the asset from commencement date to the end of the useful life of the underlying asset. Where the right does not transfer the ownership of the asset, the Company depreciates it from commencement date to the earlier of the end of the useful life of the right-of-use asset or end of the lease term. In addition, interest expense on the lease liability is recognised in the profit or loss.

Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the date of commencement, the Company recognises assets held under finance lease in the SOFP and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease. The Company's net investment in lease is included in Note 25 on "Lease rental receivables from customers"

4. OTHER ACCOUNTING POLICIES (CONTD...)

4.4 Leases (SLFRS 16) (contd...)

Determination of lease term and estimating the incremental borrowing rate

The Company uses its judgement to determine whether a lease contract qualifies for recognition of right-of-use assets. The Company applies judgements in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That considers all relevant factors that create economic benefits for it to exercise either the renewal or termination.

Further, as the Company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate (IBR) to measure the lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.

4.5 Statement of cash flows

The statement of cash flows is prepared using the 'Indirect Method' of preparing cash flows in accordance with the Sri Lanka Accounting Standard - LKAS 7 on 'Statement of Cash Flows'. Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

5. SEGMENT INFORMATION

The Company does not have any operating segment that engages in business activities from which it may earn revenues, and on which expenses incurred whose operating results are regularly reviewed by the entity's management to determine the resources to be allocated to the segment and assess its performance for which discrete financial information is available.

6. GOODWILL

Goodwill arising on an acquisition of business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses if any.

A cash generating unit to which goodwill has been allocated is tested for impairment annually, more frequently when there is an indication that the unit may be impaired.

The company tests goodwill for impairment annually and assesses for any indications of impairment to ensure that its carrying amount does not exceed the recoverable amount. If an impairment loss is identified, it is recognised immediately in the Income Statement. Recoverable amount has been assessed based on the recent market transactions (Level 2) and considering the company as a whole.

7. GROSS INCOME

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Specific recognition criteria, for each type of income, given under the respective income notes.

	2024/2025 Rs.	2023/2024 Rs.
Interest income	5,556,998,372	4,966,228,032
Fee and commission income	46,484,815	54,114,954
Net trading income	(295,356)	6,293,206
Other operating income (net)	16,804,404	45,460,822
	<u>5,619,992,235</u>	<u>5,072,097,014</u>

8. INTEREST INCOME AND INTEREST EXPENSES

The Company used the effective interest rate (EIR) method for recognition of interest income and interest expense of the financial assets and financial liabilities that are measured at amortised cost.

The 'effective interest rate' is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or financial liability.

The calculation of EIR takes into account all the contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are integral part of the EIR, but not the future credit losses.

The carrying amount of the financial asset or financial liability is adjusted if the Company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded as an impairment charge or reversal to the income statement.

Overdue interest on rental arrears have been accounted on cash received basis.

	2024/2025 Rs.	2023/2024 Rs.
Interest income		
Loans and advances	87,502,982	131,257,336
Lease receivables	4,804,186,713	3,811,452,279
Placements with banks and other financial institutions	330,522,238	283,981,896
Other financial assets	334,786,439	739,536,521
Total interest income	<u>5,556,998,372</u>	<u>4,966,228,032</u>
Interest expenses		
Deposits from customers	2,151,454,775	2,693,554,969
Debt instruments issued and other borrowed funds	124,901,691	122,674,879
Total interest expenses	<u>2,276,356,466</u>	<u>2,816,229,848</u>
Net interest income	<u>3,280,641,906</u>	<u>2,149,998,184</u>

9. FEE AND COMMISSION INCOME

The Company earns fee and commission income from a diverse range of services it provides to its customers. These fees include credit-related fees and commission income. All fees and commissions are recognised to the Income Statement on an accrual basis. Fee and commission income that are integral to the EIR of a financial asset or financial liability are capitalised and included in the measurement of the EIR and recognised in the Profit or Loss over the expected life of the instrument.

	2024/2025 Rs.	2023/2024 Rs.
Service charges	115,213	23,000
commission income	46,369,602	54,091,954
	<u>46,484,815</u>	<u>54,114,954</u>

10. NET TRADING INCOME

Net trading income includes all gains and losses from changes in fair value of financial assets 'recognised through profit or loss'.

	2024/2025 Rs.	2023/2024 Rs.
Fair value gain on dealing securities	(295,356)	6,293,206
	<u>(295,356)</u>	<u>6,293,206</u>

11. OTHER OPERATING INCOME

Income earned on other sources, which are not directly related to the normal operations of the Company is recognised as other operating Income on an accrual basis.

Dividend income

Dividend income received from financial assets measured at fair value through other comprehensive income is recognised when the Company's right to receive the payment is established.

Gain or loss on disposal of property and equipment

The profit/(loss) on disposal of property, plant and equipment is determined as the difference between the carrying amount of the assets at the time of disposal and the proceeds of disposal, net of incremental disposal costs. This is recognised as an item of other operating income in the financial year in which significant risks and rewards of ownership are transferred to the buyer.

	2024/2025 Rs.	2023/2024 Rs.
Other income		
Dividend income	2,072,050	1,505,341
Profit on disposal of property and equipment	2,116,883	1,738,086
Sundry income	1,134,882	5,331,991
Trading income	400,000	-
Fair value gain on investment property	11,100,000	37,000,000
Exchange gain	(19,411)	(114,596)
	<u>16,804,404</u>	<u>45,460,822</u>

12. IMPAIRMENT CHARGES ON FINANCIAL ASSETS AND OTHER LOSSES

The Company recognises the changes to the impairment provision which are assessed based on expected credit loss method in accordance with Sri Lanka Accounting Standard - SLFRS 09 (Financial Instruments). The methodology adopted by the company is explained in the Note 26 to these financial statements. Recovery of amounts written-off as bad and doubtful debts is credited to impairment charges and other losses.

	2024/2025 Rs.	2023/2024 Rs.
Impairment charges / (reversal) for loans and advances	26,713,198	27,746,669
Impairment charges for leases	371,398,210	456,349,911
Loss on inventory valuation	-	100,000
Bad debt recovered	(57,864,067)	(26,914,474)
	<u>340,247,341</u>	<u>457,282,106</u>

13. PERSONNEL EXPENSES

Personnel expenses include salaries and bonus, terminal benefits and other related expenses. The provision for bonus is recognised when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made relating to this obligation.

Defined contribution plans - Employees' Provident Fund (EPF) and Employees' Trust Fund (ETF)

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods as defined in the Sri Lanka Accounting Standard - (LKAS 19) - 'Employee Benefits'.

The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and are recorded as expenses when they become due. Unpaid contributions are recorded as liabilities.

The Company and the employees contribute 12% and 8% respectively on the salary of each employee to the Private Provident Fund.

The Company contributes 3% from the salary of each employee to the Employees' Trust Fund.

13. PERSONNEL EXPENSES (CONTD...)

Defined benefit plan

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Accordingly, staff gratuity was considered as defined benefit plan as per LKAS 19 - Employee Benefits.

	2024/2025	2023/2024
	Rs.	Rs.
Salaries and other related expenses	695,403,599	578,501,753
Employer's contribution to Employees' Provident Fund	53,343,987	46,937,494
Employer's contribution to Employees' Trust Fund	13,335,997	11,734,374
Gratuity charge for the year (Note 37)	23,890,469	19,864,293
Directors fees	20,650,000	18,000,000
	<u>806,624,052</u>	<u>675,037,914</u>

Directors' fee include fees paid to Non-Executive Directors. Remunerations paid to Executive Directors are included under salaries and other related expenses.

14. OTHER OPERATING EXPENSES

Other operating expenses are recognised in the statement of profit or loss and other comprehensive income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenses incurred in the running of the business and in maintaining the property, plant & equipment have been charged to the statement of profit or loss and other comprehensive income in arriving at the profit for the year.

Operating expenses also include the following expenses.

	2024/2025	2023/2024
	Rs.	Rs.
Auditor's remuneration	3,931,006	3,550,000
Non-audit fee to auditors	-	190,000
Subscriptions	4,607,315	5,755,290
Professional fees	18,284,410	10,678,743
Legal expenses	3,828,729	-
Rights of use asset - interest expense	22,212,369	13,826,031
Deposit insurance premium	22,478,269	20,237,425
Crop insurance levy expense	7,500,985	3,161,715
Other expenses	257,713,413	193,071,888
	<u>340,556,496</u>	<u>250,471,092</u>

Crop insurance levy

As per the provisions of the section 14 of the Finance Act No. 12 of 2013, the Crop Insurance Levy was introduced with effect from 1 April 2013 and was payable to the National Insurance Trust Fund. Currently, the Crop Insurance Levy is payable at 1% of profit after tax.

15. TAX ON FINANCIAL SERVICES

Tax on Financial Services include Value Added tax on Financial Services and Social Security Contribution Levy.

Value Added Tax (VAT) on financial services

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of VAT on Financial Services is the accounting profit before VAT on Financial Services and income tax adjusted for the economic depreciation and emoluments payable to employees including cash benefits, non-cash benefits and provisions relating to terminal benefits.

Currently, the VAT on Financial Services is payable at 18% of Company's value addition attributable to financial services .

Social Security Contribution Levy (SSCL)

Social Security Contribution Levy (SSCL) is calculated in accordance with Social Security Contribution Levy Act, No. 25 Of 2022 and subsequent amendments thereto. SSCL is payable on 2.5% of Company's value addition attributable to financial services with effect from 01 October 2022. The value addition attributable to financial services is as same as to the value use to calculate the VAT on Financial Services.

	2024/2025 Rs.	2023/2024 Rs.
Value Added Tax on Financial Services	467,619,690	170,558,162
SSCL on Financial Services	58,932,574	23,688,633
	<u>526,552,264</u>	<u>194,246,795</u>

16. TAXATION

As per Sri Lanka Accounting Standard - (LKAS 12) - 'Income Taxes', tax expense is the aggregate amount included in the determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the income statement except to the extent it relates to items recognised directly in 'Equity' or 'other comprehensive income (OCI)', in which case it is recognised in equity or in OCI.

Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustments to tax payable in respect of previous years. The tax rates and tax laws are used to compute the amount are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto.

Application of International Financial Reporting Interpretations Committee - IFRIC 23 on "Uncertainty Over Income Tax Treatments" (IFRIC 23)

IFRIC 23 was applied in determining taxable profit, tax bases, unused tax losses, unused tax credits, and tax rates in cases where uncertainty existed regarding income tax treatments. However, the application of IFRIC 23 did not have a material impact on the financial statements, and therefore, no additional disclosures were required.

Accounting estimates

Significant judgment was required to determine the total provision for current and deferred tax. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The Company recognised assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income, deferred and other tax amounts in the period in which the determination is made.

16. TAXATION (CONTD...)

Deferred Taxation

Detailed disclosure of accounting policies and estimate of deferred tax is available in Note 31 to the financial statements.

	2024/2025 Rs.	2023/2024 Rs.
Current income tax		
Income tax for the year	512,115,940	123,817,775
Provision for income tax under provision - prior year	11,528,740	35,479,494
Deferred tax		
Deferred taxation charge	(22,785,813)	129,290,784
	<u>500,858,867</u>	<u>288,588,053</u>

A reconciliation between the tax expense and the accounting profit multiplied by the relevant tax rate is as follows:

	2024/2025 Rs.	2023/2024 Rs.
Accounting profit as per draft income tax computation	1,250,957,328	606,871,905
Income tax expense at the statutory income at 30%	375,287,198	182,061,571
Tax effect of disallowable expenses	288,642,739	243,578,580
Tax effect of allowable expenses and other deductions	(151,928,818)	(209,113,721)
Effect of tax exempt income	114,819	(13,960,990)
Tax effect on qualifying payments - investment in subsidiary	-	(78,747,665)
Current tax expense for the year	<u>512,115,940</u>	<u>123,817,775</u>
Effective tax rate	40.04%	47.55%
Effective tax rate (excluding deferred tax)	40.94%	20.40%

Income tax Rate of 30% applied on the taxable income of the company for the financial year ended 31 March 2025.

17. EARNINGS PER SHARE

The earnings per share have been calculated by dividing the profit for the year attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding during the year, as per the Sri Lanka Accounting Standard - LKAS 33 - Earnings per Share.

The weighted average number of ordinary shares outstanding during the year and the previous years are adjusted for events that have changed the number of ordinary shares outstanding during the year.

	2024/2025 Rs.	2023/2024 Rs.
Profit attributable to ordinary shareholders	750,098,461	318,283,852
Weighted average number of ordinary shares	113,327,268	113,327,268
Earnings per ordinary share-basic and diluted (Rs.)	6.62	2.81

The Company's diluted earnings per ordinary share are equal to the basic earnings per ordinary share since it does not have any convertible securities as at the reporting date.

18. FINANCIAL INSTRUMENTS

Date of recognition

Financial assets and financial liabilities, except the loans and advances to customers and balances due to depositors, are initially recognised on the trade date, i.e. the date the Company becomes a party to the contractual provisions of the instrument. This includes the regular way trades, purchases or sales of financial assets that require delivery of assets to customers within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised on the date on which it originated. The Company recognises balances due to depositors when funds are transferred to the Company.

Classification and initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per Sri Lanka Accounting Standard - SLFRS 09 (Financial Instruments).

When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for the Day 1' Profit or loss.

Day 1' profit or loss

When the transaction price of the instrument differs from the fair value at the origination and the fair value is based on a valuation technique using only inputs from observable in market transactions, the Company recognises the difference between the transaction price and the fair value.

Classification and subsequent measurement of financial assets

The Company classifies all its financial assets based on the business model for managing the assets and asset's contractual terms measured at either;

- Amortised cost or
- Fair Value through Profit or Loss (FVTPL)
- Fair Value through Other Comprehensive Income (FVOCI)

The subsequent measurements of financial assets depends on their classifications.

Business model assessment

The Company determines its business model at the level that reflects how it manages the financial assets to achieve its objectives. The Company's business model is not assessed on an instrument by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- how the performance of business model and the financial assets held within the business model are evaluated and reported to the entity's key management personnel
- the risks that affect the performance of the business model (and the financial asset held within the said business model) and, in particular, the way those risks are managed
- how Managers of the business are compensated (for example; whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)
- the expected frequency, value and the timing of sales

The business model assessment is based on reasonably expected scenario without taking 'worst case' or 'stress case' scenario into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectation, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets.

18. FINANCIAL INSTRUMENTS (CONTD...)

Contractual cash flow characteristic test (The SPPI Test)

As the second test of the classification process the Company assesses the contractual terms of the financial asset to identify whether they meet 'Solely the Payment of Principle and Interest' (SPPI) criteria.

Principal for the purpose of this test is defined as the fair value of the financial asset at initial recognition which may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium / discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make SPPI assessment, the Company applies judgement and considers relevant factors such as currency in which the financial asset is denominated and the period for which the interest rate is set.

Classification and subsequent measurement of financial liabilities

As per SLFRS 09, the Company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories;

- Financial liabilities at fair value through profit or loss, and
- Financial liabilities measured at amortised cost.

The subsequent measurements of financial liabilities depend on their classifications.

Reclassification of financial assets and financial liabilities

As per SLFRS 09, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the Company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial liabilities are not reclassified in accordance with SLFRS 09.

Derecognition of financial assets and financial liabilities

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the right to receive cash flows had expired.

A financial liability is derecognised when its obligation is discharged, cancelled or expired.

Off setting financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in the statement of financial position.

Income and expenses are presented on a net basis only when permitted under LKAS / SLFRS, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

During the year the Company has not offset any financial assets with its financial liabilities in the statement of financial position.

18. FINANCIAL INSTRUMENTS (CONTD...)

Off setting financial instruments (contd...)

The rights of set off relating to the financial instruments and cash collateral are conditional upon the default of the counterparty. Offsetting of financial instruments based on the rights of set off relating to the financial instruments and cash collateral is as follows;

	31.03.2025		
	Gross amount receivable	Financial instrument collateral	Net amount
	Rs.	Rs.	Rs.
Financial assets			
Loans and receivables	303,555,892	684,984,394	-
Financial liabilities			
Borrowings	-	-	-

19. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how each category of financial instrument is measured and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFS 09 'Financial Instruments: Recognition and Measurement' under the headings of the statement of financial position.

FVTPL : Fair Value through Profit or Loss

AC : Amortised Cost

FVOCI : Fair Value through Other Comprehensive Income

As at 31 March 2025

	AC Rs.	FVOCI Rs.	Total Rs.
Assets			
Cash in hand and at bank	150,733,173	-	150,733,173
Financial assets - amortised cost	5,587,989,431	-	5,587,989,431
Loans and receivables	398,569,640	-	398,569,640
Lease rental receivables from customers	13,209,698,331	-	13,209,698,331
Financial assets - measured at FVOCI	-	11,046,206	11,046,206
Total financial assets	19,346,990,575	11,046,206	19,358,036,781
	FVTPL Rs.	AC Rs.	Total Rs.
Liabilities			
Deposits from customers	-	15,548,876,387	15,548,876,387
Trade payables	-	705,180,450	705,180,450
Total financial liabilities	-	16,254,056,837	16,254,056,837

19. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS (CONTD...)

As at 31 March 2024

	FVTPL Rs.	AC Rs.	FVOCI Rs.	Total Rs.
Assets				
Cash in hand and at bank	-	192,969,203	-	192,969,203
Financial assets - amortised cost	-	6,270,936,008	-	6,270,936,008
Financial asset - measure at FVTPL	26,534,372	-	-	26,534,372
Loans and receivables	-	498,634,959	-	498,634,959
Lease rental receivables from customers	-	10,541,944,016	-	10,541,944,016
Financial assets - measured at FVOCI	-	-	37,096,782	37,096,782
Total financial assets	26,534,372	17,504,484,185	37,096,782	17,568,115,339
			AC Rs.	Total Rs.
Liabilities				
Dues to banks and financial institutions			723,726,558	723,726,558
Deposits from customers			14,552,850,301	14,552,850,301
Trade payables			297,460,026	297,460,026
Total financial liabilities			15,574,036,886	15,574,036,886

20. FAIR VALUE MEASUREMENT

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing an asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account the market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The Company uses various valuation methodologies that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. The use of observable and unobservable inputs and their significance in measuring fair value are reflected in our fair value hierarchy assessment.

Level 1: Inputs include quoted prices for identical instruments and are the most observable.

Level 2: Inputs include quoted prices for similar instruments and observable inputs such as interest rates, currency exchange rates and yield curves.

Level 3: Inputs include data not observable in the market and reflect management judgement about the assumptions market participants would use in pricing the instruments.

We review the inputs to the fair value measurements to ensure they are appropriately categorised within the fair value hierarchy. Transfers into and transfers out of the hierarchy levels are recognised as if they had taken place at the end of the reporting period.

20. FAIR VALUE MEASUREMENT (CONTD...)

Assets and liabilities measured at fair value and fair value hierarchy

As at 31 March 2025	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Non financial assets				
Property, plant and equipment				
Land and buildings	-	-	980,310,000	980,310,000
Investment property	-	-	161,100,000	161,100,000
Financial assets				
Financial investments - FVOCI				
Investments in quoted shares	1,913,633	-	-	1,913,633
Investments in unquoted shares	-	-	9,132,573	9,132,573
As at 31 March 2024	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Non financial assets				
Property, plant and equipment				
Land and buildings	-	-	980,310,000	980,310,000
Investment Property	-	-	150,000,000	150,000,000
Financial assets				
Financial assets - measured at FVTPL	26,534,372	-	-	26,534,372
Financial investments - FVOCI				
Investments in quoted shares	27,059,297	-	-	27,059,297
Investments in unquoted securities	-	-	10,037,485	10,037,485

There was no inward or outward transfer at the hierarchy levels during the year 2025-2024 and 2024-2023.

Details of valuation methodologies and assumptions are disclosed in the relevant notes 22, 26 ,28 and 30 to the financial statements.

20. FAIR VALUE MEASUREMENT (CONTD...)

Financial instruments not measured at fair value and fair value hierarchy

The following table sets out the estimated fair values of financial assets and liabilities not measured at fair value and hence reflected at the carrying amounts in financial statements and the fair value hierarchy used:

	Amortised cost Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
As at 31 March 2025					
Financial assets - amortised cost					
Cash and cash equivalents	150,733,173	150,733,173	-	-	150,733,173
Financial assets - Amortised cost					
Investments in fixed deposits	11,973,862	-	11,973,862	-	11,973,862
Investments in treasury bonds	5,425,259	-	5,425,259	-	5,425,259
Investments in treasury bills	1,426,816,598	-	1,426,816,598	-	1,426,816,598
Investments in repos	4,143,773,712	-	4,143,773,712	-	4,143,773,712
Loans and receivables	398,569,640	-	398,569,640	-	398,569,640
Lease rental receivables from customers	13,209,698,331	-	13,209,698,331	-	13,209,698,331
					-
Financial liabilities - amortised cost					
Deposits from customers	15,548,876,387	-	15,548,876,387	-	15,548,876,387
Trade and other payables	1,074,346,056	-	1,074,346,056	-	1,074,346,056
	Amortised cost Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
As at 31 March 2024					
Financial assets - amortised cost					
Cash and cash equivalents	192,969,203	192,969,203	-	-	192,969,203
Financial assets - amortised cost					-
Investments in fixed deposits	214,974,276	-	214,974,276	-	214,974,276
Investments in treasury bonds	5,344,403	-	5,344,403	-	5,344,403
Investments in treasury bills	1,656,126,207	-	1,656,126,207	-	1,656,126,207
Investments in repos	3,902,851,915	-	3,902,851,915	-	3,902,851,915
Investments in debt securities	491,639,207	-	491,639,207	-	491,639,207
Loans and receivables	498,634,959	-	498,634,959	-	498,634,959
Lease rental receivables from customers	10,541,944,016	-	10,541,944,016	-	10,541,944,016
Financial liabilities - amortised cost					
Dues to banks and other borrowings	723,726,558	-	723,726,558	-	723,726,558
Deposits from customers	14,552,850,301	-	14,552,850,301	-	14,552,850,301
Trade and other payables	515,758,598	-	515,758,598	-	515,758,598

21. CASH AND CASH EQUIVALENTS

Cash and cash equivalents includes cash and bank balances and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Cash in hand	55,818,778	50,115,562
Cash at bank	94,914,395	142,853,641
	<u>150,733,173</u>	<u>192,969,203</u>

22. FINANCIAL ASSETS - AMORTISED COST

Investments in fixed deposits, treasury bonds, treasury bills, Reverse Repurchase Agreements and debt securitisation papers are initially measured at fair value and subsequently measured at amortised cost. Interest income is accrued over the tenor of the investment using the effective interest rate (EIR) method.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Investment in treasury bills	1,426,816,598	1,656,126,207
Investments in fixed deposits	11,973,862	214,974,276
Investments in treasury bonds	5,425,259	5,344,403
Investments in repos	4,143,773,712	3,902,851,915
Investments in debt securities	-	491,639,207
	<u>5,587,989,431</u>	<u>6,270,936,008</u>

- 22.1 The collateral value of the repurchase agreements was Rs. 4,535,514,841/- as at 31 March 2025. (Rs.5,275,698,586 as at 31 March 2024).

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
22.2 Investments in fixed deposits		
Investments in fixed deposits	11,973,862	215,107,292
Provision for impairments	-	(133,017)
	<u>11,973,862</u>	<u>214,974,276</u>

Counter party external credit rating (A - By Fitch Rating).

Sampath Bank FD

A (lka); Outlook Stable

23. FINANCIAL ASSETS - MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

The Company classifies financial assets recognised through profit or loss when they have been purchased primarily for short term profit making through trading activities. They are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognised in net trading income.

Financial assets recognised through profit or loss include quoted equity securities that have been acquired principally for the purpose of selling in the near term, and are recorded at fair values. The quoted equity securities are valued using the market prices published by the Colombo Stock Exchange.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Investments in dealing with securities	-	26,534,372
	-	26,534,372

23.1 Investments in dealing with securities

	As at 31.03.2025			As at 31.03.2024		
	No. of shares	Cost Rs.	Fair value Rs.	No. of shares	Cost Rs.	Fair value Rs.
Investments in Dealing with Securities						
Bank, Financial & Insurance						
Alliance Finance Co. PLC	-	-	-	52,000	305,474	4,773,600
DFCC Bank PLC	-	-	-	27	1,551	2,052
Lanka Orix Leasing Company PLC	-	-	-	5,700	511,869	2,280,000
Citizens Development Bank PLC	-	-	-	4,109	283,139	901,926
People's Leasing & Finance Company PLC	-	-	-	141,816	1,872,000	1,574,158
Beverages, Food and Tobacco						
Lanka Milk foods PLC	-	-	-	216,000	2,734,628	5,853,600
Chemicals and Pharmaceuticals						
Lankem Ceylon PLC	-	-	-	42	3,570	2,927
Chemenex PLC	-	-	-	4,300	588,773	310,030
Hotel & Tourism						
Sigiriya Village Hotel PLC	-	-	-	1,600	159,034	75,840
Hotel Corporation PLC	-	-	-	10,478	404,080	199,082
Serendib Hotels PLC (N/V)	-	-	-	10,000	192,128	98,000
Power and Energy						
Laughs Gas PLC	-	-	-	8,000	184,000	276,000
Utilities						
Laughs Power PLC	-	-	-	8,000	-	72,000
Manufacturing						
Blue Diamond Jewellery PLC	-	-	-	19	48	6
ACL Cables PLC	-	-	-	47,600	780,646	4,003,160
Diversified Holdings						
Valible One PLC	-	-	-	100,000	2,600,000	5,090,000
Motors						
Diesel & Motor Engineering PLC	-	-	-	1,166	788,918	596,992
Land and Property						
Seylan Developments PLC	-	-	-	25,000	479,309	425,000
Total					11,889,167	26,534,372

24. LOANS AND RECEIVABLES

Loans and receivables include financial assets measured at amortised cost if both of the following conditions are met:

- Assets that are held within a business model whose objective is to hold the assets in order to collect contractual cash flows.
- Contractual terms of the assets give rise on specific dates to cash flows that are solely payment of principal and interest on the principal outstanding.

After initial measurement loans and receivables are subsequently measured at amortised cost using the effective interest rate (EIR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the statement of profit or loss and other comprehensive income. The loss arising from impairments are recognised in 'impairment (charge)/reversal on loans and other losses' in the statement of profit or loss.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Corporate loans	42,817,888.00	193,798,430
Personal loans	97,680,700.00	156,862,200
Micro loans	4,804,876.00	3,320,972
Other loans	309,194,489.00	308,005,860
Hire purchases and Murabaha	2,110,539.00	21,001,435
Mediation / consent motion loans	91,616,379.00	111,123,225
Pawning advances	8,687,485.00	8,687,485
Prepaid rentals	(814,050.00)	(2,328,326)
	556,098,306.00	800,471,280
Less: allowance for impairment losses	(157,528,666.00)	(301,836,321)
Net loans and advances	398,569,640.00	498,634,959

25. LEASE RENTALS RECEIVABLE FROM CUSTOMERS

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Company is the lessor under finance leases the amounts due under the leases, after deduction of unearned charges, are recognised in the statement of financial position. The finance income receivable is recognised in 'interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

After initial measurement, lease receivable and stock out on hire are subsequently measured at amortised cost using the effective interest rate (EIR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the statement of profit or loss and other comprehensive income. The losses arising from impairments are recognised in 'impairment charge on loans and other losses' in the statement of profit or loss and other comprehensive income.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
25. LEASE RENTALS RECEIVABLE FROM CUSTOMERS (CONTD...)		
Gross rentals receivables	18,769,886,158	14,743,441,074
Rentals dues and other receivables	2,528,626,690	2,422,704,270
	21,298,512,848	17,166,145,344
Less: unearned income	(6,895,893,427)	(5,365,444,259)
	14,402,619,421	11,800,701,085
Less: Lease rentals prepaid	(101,854,452)	(72,710,766)
Net rentals receivables	14,300,764,969	11,727,990,319
Less : Allowances for impairment losses (Note 26.1)	(1,091,066,638)	(1,186,046,303)
Total net rentals receivable	13,209,698,331	10,541,944,016
25.1 Rental receivables on finance lease		
Within 1 year		
Gross receivable	11,614,463,064	10,164,618,802
Unearned income	(4,241,388,577)	(3,475,645,486)
Net receivable	7,373,074,488	6,688,973,316
1-5 years		
Gross receivable	9,582,195,332	6,928,815,777
Unearned income	(2,654,504,851)	(1,889,798,773)
Net receivable	6,927,690,481	5,039,017,004
Total net receivable	14,300,764,969	11,727,990,319

26. ALLOWANCE FOR IMPAIRMENT LOSSES

The adoption of SLFRS 09 has fundamentally changed the Company's loan loss impairment method forward-looking Expected Credit Loss (ECL) approach. The Company has all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts, in this section all referred to as 'financial instruments' for allowance for expected credit losses with effect from 01 April 2017. Equity instruments are not subject to impairment under SLFRS 09.

The ECL allowance is based on the credit losses expected to arise over the life of the asset.

The 12 months ECL is the portion of life time ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both Lifetime and 12 months ECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments.

26. ALLOWANCE FOR IMPAIRMENT LOSSES (CONTD...)

The Company has established a policy to perform an assessment, at the of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. Based on such process Company allocates loans in Stage 1, Stage 2, Stage 3 as described below;

Stage 01

When loans are first recognised, the Company recognises an allowance based on 12 months ECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

Stage 02

When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the Lifetime ECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 03

When a loan is considered to be credit impaired/contain objective evidences of incurred loss, the Company records an allowance for the Lifetime ECLs.

Significant increase in credit risk

The Company continuously monitors all assets subjected to ECL, in order to determine whether there has been a significant increase in credit risk since initial recognition and whether the instrument or a portfolio of instruments is subject to 12 months ECL or Lifetime ECL. The Company considers an exposure to have a significant increase in credit risk at 30 days past due.

Individually significant impairment assessment and loans which are not impaired individually

Company will individually assess all significant customer exposures to identify whether there are any indicators of impairment. Loans with objective evidence of incurred losses are classified as Stage 3. Loans which are individually significant but not impaired will be assessed collectively for impairment under either Stage 1 or Stage 2, based on the above specified criteria to identify whether there have been a significant credit deterioration since origination.

While establishing significant credit deterioration, Company will consider the following criteria;

- Other changes in the rates or terms of an existing financial instrument that would be significantly different if the instrument was newly originated
- Significant changes in external market indicators of credit risk for a particular financial instrument or similar financial instrument
- Other Information related to the borrower, such as changes in the price of a borrower's debt/equity instrument
- An actual/expected internal credit rating downgrade for the borrower or decrease in behavioral score used to assess credit risk internally
- Existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant change in the borrower's ability to meet its obligations
- An actual or expected significant changes in the operating results of the borrower in relation to actual/expected decline in revenue, increase in operating risk, working capital deficiency, decrease in asset quality, increase in gearing and liquidity management problems
- Significant increase in credit risk on other financial instruments of the same borrower
- An actual or expected significant adverse changes in the regulatory, economic or technological environment of the borrower that results in a significant change in the borrower's ability to meet the debt obligations

26. ALLOWANCE FOR IMPAIRMENT LOSSES (CONTD...)

Definition of default

The Company considers the following event constitutes as of default for internal credit risk management purposes as historical experience indicates that financial assets that meet either of the following criteria are generally not recoverable:

- when there is a breach of financial covenants by the debtor; or
- information developed internally or obtained from external sources indicate that the debtor is unlikely to pay its creditors, including the Company, in full (without taking into account any collateral held by the company).

Irrespective of the above analysis, the Company considers that default had occurred when a financial asset is more than 90 days past due unless the Company has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Grouping financial assets measured on a collective basis

As explained above, Company calculates ECL either on a collective or individual basis. Asset classes where Company calculates ECL on an individual basis include all individually significant assets which belong to Stage 3. All assets which belong to Stage 1 and Stage 2 will be assessed collectively for impairment.

Asset classes where the Company calculates ECL on an individual basis include Repossessed contracts, Hire purchase contract, Consent motion contract, Age above 24+ and Legal cases on individual basis and other all contracts are assessed on collective basis.

The Company allocates smaller homogeneous exposures based on a combination of internal and external characteristics such as product type, customer type, days past due etc.

Calculation of ECL

The expected cash shortfalls are calculated by multiplying respective loan level PDs, EADs and LGDs. The cash shortfall is discounted to the Effective Interest Rate (EIR). A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

PDs and LGDs are adjusted to the forward looking information using statistically quantified variance.

The mechanics of the ECL calculation are outlined below and the key elements are as follows;

- Probability of Default (PD): PD is an estimate of the likelihood of default over a given time horizon. Hence majority of our client base being retail; we use internal information to estimate the PDs. The client has two credit status which can be identified as default or not. We used Cohort method (CM) to compute the PDs.
- Exposure at Default (EAD): EAD is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principal and interest, whether scheduled by contract or otherwise and expected draw downs on committed facilities.
- Loss Given Default (LGD): LGD is an estimate of the loss arising, where a default occurs at a given time calculated based on historical recovery data. It is usually expressed as percentage of the EAD.

For all products, Company considers the maximum period over which the credit losses are determined is the contractual life of a financial instrument.

26. ALLOWANCE FOR IMPAIRMENT LOSSES (CONTD...)

Forward looking information

Company relies on broad range of qualitative / quantitative forward looking information as economic inputs in the Multiple economic factor model developed to forecast the expected Non-Performing Loans (NPL), such as;

- * GDP growth
- * Inflation
- * Interest rate
- * Unemployment rates
- * Exchange rate

Reversals of impairments

If an amount in the impairment loss decrease in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the financial asset impairment allowance account accordingly. The write-back is recognised in the profit or loss.

Write-off of loans and receivables

Financial assets are written off either partially or entirety only when the Company has stopped pursuing the recovery. If the amount to be is greater than the accumulated impairment, the difference is first treated as an addition to the impairment that is then applied against the gross carrying amount. Any subsequent recoveries are credited to the statement of profit or loss.

Collateral valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, vehicles, gold, securities, letters of guarantees, real estate, receivables, inventories and other non-financial assets. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

To the extent possible, the Company uses active market data for valuing financial assets, held as collateral, such as real estate, is valued based on data provided by third parties such as independent valuers.

Collateral repossessed

Repossessed collateral will not be taken into books of accounts unless the Company has taken those collaterals into its business operations. However such additions from the repossessed collaterals to the business operations are not significant.

26.1

	Loans and advances		Lease rentals receivable from customers	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.	Rs.	Rs.	Rs.
As at the beginning of the year	301,836,321	274,089,652	1,186,046,303	1,054,867,800
Charge for the year	26,713,198	27,746,669	371,398,210	456,349,911
Amounts written off	(171,020,853)	-	(466,377,874)	(325,171,408)
As at the end of the year	157,528,666	301,836,321	1,091,066,639	1,186,046,303
Individual impairment	155,935,694	299,713,169	506,489,780	612,945,403
Collective impairment	1,592,972	2,123,152	584,576,859	573,100,900
	157,528,666	301,836,321	1,091,066,639	1,186,046,303
Collective impairment				
Stage 1 impairment	258,107	441,250	125,497,557	70,108,792
Stage 2 impairment	51,983	454,262	171,738,961	256,100,497
Stage 3 impairment	1,282,882	1,227,640	287,340,340	246,891,611
	1,592,972	2,123,152	584,576,858	573,100,900

26. ALLOWANCE FOR IMPAIRMENT LOSSES (CONTD...)

26.1 The followings tables shows reconciliations from the opening to closing balances of amortise cost and loss allowances for lease and loan portfolios.

Lease and loan portfolios	2024/2025			Total
	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	
Amortised cost as at 01.04.2024	6,167,515,034	3,343,795,215	3,017,151,350	12,528,461,599
Transfer to Stage 01	475,686,756	(410,250,010)	(65,436,746)	-
Transfer to Stage 02	(1,336,836,329)	1,480,100,438	(143,264,109)	-
Transfer to Stage 03	(442,794,360)	(609,412,943)	1,052,207,303	-
New assets originated or purchased	7,499,069,721	1,725,328,409	558,883,300	9,783,281,430
Financial assets derecognised or repaid	(3,429,996,036)	(1,963,085,068)	(1,424,399,925)	(6,817,481,029)
Write-offs	-	-	(637,398,728)	(637,398,728)
Amortised cost as at the 31.03.2025	8,932,644,785	3,566,476,042	2,357,742,446	14,856,863,273

Impairment charge on lease & loan portfolios

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
As at the beginning of the year 01.04.2024	70,617,800	257,289,028	1,159,975,795	1,487,882,623
Charge for the year	55,308,934	(84,690,283)	427,492,757	398,111,408
Amounts written off	-	-	(637,398,728)	(637,398,728)
As at the end of the year 31.03.2025	125,926,734	172,598,745	950,069,824	1,248,595,303

Lease and loan portfolios	2023/2024			Total
	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	
Amortise cost as at 01.04.2023	5,394,164,915	2,745,838,098	3,298,132,856	11,438,135,869
Transfer to Stage 01	410,257,158	(333,778,186)	(76,478,972)	-
Transfer to Stage 02	(1,214,013,525)	1,413,931,856	(199,918,331)	-
Transfer to Stage 03	(588,718,762)	(727,767,363)	1,316,486,125	-
New assets originated or purchased	5,035,230,558	1,626,143,143	588,196,093	7,249,569,794
Financial assets derecognised or repaid	(2,856,787,925)	(1,334,669,683)	(1,642,615,047)	(5,834,072,655)
Write-offs	(12,617,385)	(45,902,650)	(266,651,373)	(325,171,408)
Amortise cost as at the 31.03.2024	6,167,515,034	3,343,795,215	3,017,151,350	12,528,461,599

Impairment charge on lease & loan portfolios

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
As at the beginning of the year 01.04.2023	35,925,256	145,476,511	1,147,555,685	1,328,957,452
Charge for the year	47,309,928	157,715,167	279,071,484	484,096,579
Amounts written off	(12,617,385)	(45,902,650)	(266,651,373)	(325,171,408)
As at the end of the year 31.03.2024	70,617,800	257,289,028	1,159,975,795	1,487,882,623

26. ALLOWANCE FOR IMPAIRMENT LOSSES (CONTD...)

26.2 Sensitivity analysis of allowance for impairments

Changed criteria	Changed factor	Effect on impairment Rs.
Loss Given Default (LGD)	Increased 10%	40,946,980
Probability of Default (PD)	Increased 1%	13,051,561

27. FINANCIAL ASSETS - MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its investments in equity instruments as Financial Assets at FVOCI when they meet the definition of financial assets and are not held for trading. Such classification is determined on an instrument by instrument basis.

Investments in quoted shares are recorded at fair value and the unquoted shares are recorded at the deemed cost in which the fair value cannot be measured due to the unavailability of sufficient and recent information. Gains and losses on these investments are never recycled to the profit. Dividends are recognised in the statement of profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as recovery of part of the cost of the instrument, in which case, such gains are recorded in other comprehensive income. Equity instruments measured at FVOCI are not subject to an impairment assessment.

	31.03.2025 Rs.	31.03.2024 Rs.
Investments in quoted shares and unit trusts (Note 27.1)	1,913,633	27,059,297
Investments in unquoted shares (Note 27.2)	9,132,573	10,037,485
	<u>11,046,206</u>	<u>37,096,782</u>

27.1 Investments in quoted shares and unit trusts

	As at 31.03.2025			As at 31.03.2024		
	No. of shares	Cost Rs.	Fair value Rs.	No. of shares	Cost Rs.	Fair value Rs.
Ceylinco Insurance PLC	-	-	-	1,250	12,500	3,224,687
Blue Diamond Jewellery	-	-	-			
Worldwide PLC				6,839	50,000	2,735
The Finance Company PLC	-	-	-	1,749	6,937	-
Merchant Bank of Sri Lanka & Finance PLC	-	-	-	224	625	1,165
Chemanex PLC	-	-	-	600	38,395	43,260
LOLC FINANCE PLC	-	-	-	84,928	125,000	475,597
Citizen Development Bank PLC	-	-	-	102,820	1,595,681	19,553,772
Jetwing Symphony PLC	-	-	-	250,000	2,750,000	2,250,000
Comtrust Equity Fund	17,738	351,747	817,012	17,738	351,747	633,956
National Equity Fund	19,608	115,294	1,096,621	19,608	115,294	874,125
	<u>37,346</u>	<u>467,041</u>	<u>1,913,633</u>	<u>485,756</u>	<u>5,046,179</u>	<u>27,059,297</u>

27.2 Investments in unquoted shares

Ranweli Holiday Resorts Limited	40,444	188,495	1,809,154	40,444	188,495	1,703,483
Credit Information Bureau of Sri Lanka	191	19,000	4,503,784	191	19,000	4,637,480
Finance House Consortium	20,000	200,000	1,236,682	20,000	200,000	1,209,600
Nation Lanka Equities	800,005	8,785,760	1,127,253	800,005	8,785,760	2,060,923
Poltech (Ceylon) Ltd	12,715	125,000	455,700	12,715	125,000	425,999
	<u>860,640</u>	<u>9,318,255</u>	<u>9,132,573</u>	<u>873,355</u>	<u>9,318,255</u>	<u>10,037,485</u>

28. INVESTMENT PROPERTIES

28.1 Basis of recognition

Investment properties are properties held either to earn rental income or for capital appreciation or both but not for sale in the ordinary course of business, based in the production or supply of goods or services or for administrative purposes.

28.2 Basis of measurement

Investment properties are initially recognised at cost. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date. Gains or losses arising from changes in fair value and the rental income from the investment property is recognised under other operating income in the Comprehensive Income in the year in which they arise.

The cost of major renovations and improvements are capitalised and the carrying amounts of the replaced components are recognised in the profit or loss. The cost of maintenance, repairs and minor improvements are recognised in the profit or loss when incurred.

De-recognition

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Income Statement in the year of retirement or disposal.

Determining fair value

External and independent professional valuers, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued, value the investment property portfolio as at each reporting date.

	Level of fair value	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Balance at the beginning of the year	Level 3	150,000,000	113,000,000
Net gains from fair value adjustments		11,100,000	37,000,000
Balance at the end of the year		161,100,000	150,000,000

Property & location	Method of valuation	Range of estimates for significant unobservable inputs	No. of buildings	Extent	Cost Rs.	Fair value 31.03.2025 Rs.
Digana Land & building						
Gangapitiyawatta Lot 4A, 8,6, 7, 28, 5 and 48	Contractors Method	Rs 155,000 per perch Rs.2,500 per square foot	3	1A-1R-21P Building: 2526 square feet	15,554,887	40,600,000
Gangapitiyawatta Lot 4	Direct comparison Method	Rs 160,000 per perch	-	Land: 1A-3R-04.70P	6,650,000	45,500,000
Gangapitiyawatta Lot 1-13	Direct comparison Method	Rs 80,000 per perch	-	Land: 5A-3R-20P	5,942,477	75,000,000
Kirinda, Thissamaharama	Not valued	2A-3R-30P	-	Land: 2A-3R-30P	3,497,955	-
					31,645,318	161,100,000

28. INVESTMENT PROPERTIES (CONTD...)

28.2 Basis of measurement (contd...)

The Digana land and building has been valued by a Professional Valuer - Mr.T.H.D.W Hewage (Valued on 24.02.2025).

The Company had not carried out the fair valuation of the Kirinda Land due to a dispute over the ownership of the land.

The following table shows the valuation technique used in measuring the fair value of investment property, as well as the significant unobservable inputs used:

Valuation technique	Significant unobservable inputs	Interrelationship between key unobservable inputs and fair value measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease), when market value per perch was higher (lower)
Building values are based on the market prices of each land respectively.	Market value of Buildings (Price per Square feet)	The estimated fair value would increase/ (decrease), when market value per square feet was higher (lower)

Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in values considered opinion, meets the requirements in SLFRS 13 Fair Value Measurements.

Rental income and direct operating expenses of investment properties

These investment properties are held for capital appreciation, as such no rent income was received during the current and preceding financial years.

Direct operating expenses (including maintenance) of investment properties amounts to Rs. 650,133/- that did not generate rental income during the period;

There are no restrictions on the realisability of the investment properties.

There are no contractual obligations to construct or develop investment properties or for repairs, maintenance or enhancements.

29. OTHER ASSETS

The Company classifies all other assets as other financial assets and other non financial assets. Other assets mainly comprise advance payments, VAT receivable, inventory and sundry receivables. Advance payments are carried forward at historical cost.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Inventories	404,893	2,004,891
Stationery stocks	-	141,593
Advances, deposits and prepayments	57,573,332	51,596,818
Other receivables	11,227,435	15,282,520
	<u>69,205,660</u>	<u>69,025,822</u>

30. PROPERTY AND EQUIPMENT

Basis of recognition

Property and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used for more than one year.

Property and equipment is recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

Basis of measurement

An item of Property and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment.

When parts of an item of property and equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

Cost model

The Company applies the cost model to all property and equipment except freehold land and buildings. These are recorded at cost of purchase together with any incidental expenses thereon, less accumulated depreciation and any accumulated impairment losses.

Revaluation model

The Company applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

Freehold land and buildings of the Company are revalued at least once in every three years on a roll over basis to ensure that the carrying amounts do not differ materially from the fair values at the reporting date. On revaluation of an asset, any increase in the carrying amount is recognised in other comprehensive income and accumulated in equity, under capital reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the profit or loss statement. In this circumstance, the increase is recognised as profit to the extent of the previous write down.

Any decrease in the carrying amount is recognised as an expense in the profit or loss statement or debited in the other comprehensive income to the extent of any credit balance existing in the capital reserve in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under capital reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent cost

Subsequent expenditure is capitalised only when it is probable that the future economic benefits of the expenditure will flow to the Company. Ongoing repairs and maintenance are expensed as incurred.

Derecognition

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset), is recognised in 'Other Income (Net)' in profit or loss in the year the asset is derecognised.

When replacement costs are recognised in the carrying amount of an item of property and equipment, the remaining carrying amount of the replaced part is derecognised as required by Sri Lanka Accounting Standard - LKAS 16 on 'Property, Plant & Equipment'.

30. PROPERTY AND EQUIPMENT (CONTD...)

Capital work-in-progress

These are expenses of a capital nature directly incurred in the construction of buildings and system development, awaiting capitalisation. These are stated in the statement of financial position at cost less any accumulated impairment losses. Capital work-in-progress is transferred to the relevant asset when it is in the location and condition necessary for it to be capable of operating in the manner intended by management (i.e. available for use).

Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight line basis over the periods appropriate to the estimated useful lives, based on the pattern in which the asset's future economic benefits are expected to be consumed by the Company of the different types of assets. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised. Depreciation does not cease when an asset become idle or is retired from active use unless the asset is fully depreciated.

Category	Depreciation rate
Buildings	2.5%
Motor vehicles	20%
Office equipment	10% - 12.5%
Computer equipment	20%
Furniture and fittings	10%
Office lifts	10%

Useful life-time of the property and equipment

The Company reviews the residual values, useful lives and methods of depreciation of property and equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

Right-of-use of assets

Right-of-use of assets are presented together with property, plant and equipment in the statement of financial position. Right-of-use of assets of the Company include land and buildings under long term rental agreements for its use as offices and branches.

The Company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortisation and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use of assets are amortised on the straight line basis over the lease term.

	Cost Rs.	Acc Dep. Rs.	Carrying value Rs.
Land	844,092,971	-	844,092,971
Buildings	136,217,030	8,890,928	127,326,102
Furniture and fittings	181,884,010	143,807,185	38,076,825
Equipment	63,672,804	50,280,407	13,392,398
Motor vehicles and accessories	164,110,346	155,945,346	8,165,000
Computer hardware	106,681,915	84,231,940	22,449,976
Office lift	3,600,000	3,600,000	-
Right-of-use of assets	218,959,648	84,920,354	134,039,294
Capital Work-in-progress	-	-	-
	<u>1,719,218,723</u>	<u>531,676,158</u>	<u>1,187,542,566</u>

30.1 PROPERTY AND EQUIPMENT (CONTD...)

	Land	Buildings	Furniture & fittings	Equipment	Motor vehicles	Computer hardware	Office lift	Work-in-progress	Right-of-use assets	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cost										
Balance as at 31 March 2023	844,092,971	136,217,029	168,906,549	55,904,239	156,447,737	92,152,705	3,600,000	184,929	156,916,506	1,614,422,665
Additions	-	-	3,186,120	3,041,508	4,080,000	15,500	-	-	32,293,942	42,617,070
Transfers/ disposals	-	-	-	-	(992,392)	(4,758,000)	-	-	(22,529,036)	(28,279,428)
Balance as at 31 March 2024	844,092,971	136,217,029	172,092,669	58,945,747	159,535,345	87,410,205	3,600,000	184,929	166,681,412	1,628,760,308
Less: Accumulated depreciation										
Balance as at 31 March 2023	-	355,637	117,259,053	41,454,926	146,155,725	77,305,645	3,600,000	-	81,320,631	467,451,618
Charge for the year	-	4,267,645	13,282,467	4,556,791	7,402,318	5,492,732	-	-	34,248,306	69,250,260
Transfers/ disposals	-	-	-	-	(919,911)	(4,698,150)	-	-	(22,529,035)	(28,147,096)
Balance as at 31 March 2024	-	4,623,282	130,541,520	46,011,717	152,638,132	78,100,227	3,600,000	-	93,039,902	508,554,781
Net book value as at 31 March 2024	844,092,971	131,593,747	41,551,149	12,934,030	6,897,213	9,309,978	-	184,929	73,641,511	1,120,205,526
Cost										
Balance as at 31 March 2024	844,092,971	136,217,029	172,092,669	58,945,747	159,535,345	87,410,205	3,600,000	184,929	166,681,412	1,628,760,308
Additions	-	-	9,791,341	4,727,057	5,620,000	19,416,710	-	-	103,316,855	142,871,963
Transfers/ disposals	-	-	-	-	(1,045,000)	(145,000)	-	(184,929)	(51,038,619)	(52,413,548)
Balance as at 31 March 2025	844,092,971	136,217,029	181,884,010	63,672,804	164,110,345	106,681,915	3,600,000	-	218,959,648	1,719,218,723
Less: Accumulated depreciation										
Balance as at 31 March 2024	-	4,623,282	130,541,520	46,011,717	152,638,132	78,100,227	3,600,000	-	93,039,902	508,554,779
Charge for the year	-	4,267,646	13,265,665	4,268,689	4,326,680	6,235,629	-	-	42,919,071	75,283,379
Transfers/ disposals	-	-	-	-	(1,019,467)	(103,917)	-	-	(51,038,619)	(52,162,003)
Balance as at 31 March 2025	-	8,890,928	143,807,185	50,280,406	155,945,345	84,231,939	3,600,000	-	84,920,354	531,676,155
Net book value as at 31 March 2025	844,092,971	127,326,101	38,076,825	13,392,398	8,165,000	22,449,976	-	-	134,039,294	1,187,542,565

30.1 PROPERTY AND EQUIPMENT (CONTD...)

Borrowing costs

There were no capitalised borrowing costs relating to the acquisition of property, plant and equipment during the year.

Fully-depreciated property and equipment

The initial cost of fully-depreciated property, plant & equipment, which are still in use as at reporting date is Rs. 377,489,850.51 (31.03.2024 - Rs. 331,034,551.11).

Property and equipment pledged as securities for liabilities

The land and buildings situated in Colombo 5, have been pledged as security for the overdraft facility obtained from Seylan Bank PLC amounting to Rs. 150 Mn and from Bank of Ceylon amounting to Rs.175 Mn.

Fair value of the land and buildings

The carrying amount of the freehold properties, if they were carried at cost less accumulated depreciation would have been as follows:

	31.03.2025	31.03.2024
	Rs.	Rs.
Cost and accumulated depreciation of the revalued assets		
Land	418,860,335	418,860,335
Buildings	130,043,817	130,043,817
Accumulated depreciation on buildings	(8,890,928)	(4,623,282)
	<u>540,013,224</u>	<u>544,280,870</u>

Extent, locations, valuations of the land and the buildings of the entity's land holdings as follows.

Location	Extent	Cost Rs.	Valuation Rs.	Valuation date	Level of fair value	No of buildings	Valuation technique	Significant unobservable input(s)
1. No 146, Colombo 05	19.85 Perches	88,774,926	353,000,000	28.01.2023	Level 3	1	Comparison Method : This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for differences in size, nature, location and condition of specific property.	Price per Perch for Land
2. No 146/34, Colombo 05	20.12 Perches	223,982,049	298,000,000	28.01.2023	Level 3	1		
3. No 138, Colombo 05	10.60 Perches	144,199,000	174,900,000	28.01.2023	Level 3	-		
4. Kandy	11.35 Perches	48,663,081	95,750,000	30.01.2023	Level 3	1		
5. Matara	17.78 Perches	42,795,044	58,660,000	02.02.2023	Level 3	1		
		<u>548,414,100</u>	<u>980,310,000</u>					

The above properties are valued by Incorporated Valuer - Mr. N. M. Jayatilake (B.sc. Est. Mgt & Val.) on the dates indicated above and there is no significant change to the values from then. Investment method and contractor's test method have been used for the valuation.

31. INTANGIBLE ASSETS

The Company's intangible assets include the value of acquired computer software.

Basis of recognition

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standard - LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, these assets are stated in the statement of financial position at cost, less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful economic lives, amortisation and impairment

Computer software

Software acquired by the Company is measured at cost less accumulated amortisation and any accumulated impairment losses.

Amortisation is calculated using the straight-line method to write-down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Computer software - 5 years

	Balance as at 31.03.2023 Rs.	Additions during the year Rs.	Balance as at 31.03.2024 Rs.
Cost	57,897,735	13,595,264	71,492,999
Accumulated amortisation	54,190,182	2,707,093	56,897,275
Net carrying value	3,707,554	10,888,171	14,595,724

	Balance as at 31.03.2024 Rs.	Additions during the year Rs.	Balance as at 31.03.2025 Rs.
Cost	71,492,999	-	71,492,999
Accumulated amortisation	56,897,275	3,414,909	60,312,184
Net carrying value	14,595,724	(3,414,909)	11,180,815

32. DEFERRED TAX ASSET / (LIABILITY)

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax liabilities are recognised for all taxable temporary differences, except:

- Where the deferred tax liability arise from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax asset is recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profits will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax asset is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax asset is reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current tax and deferred tax relating to items recognised directly in equity are also recognised in equity and not in the statement of profit or loss.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Deferred tax asset is recognised in respect of tax losses to the extent it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
32. DEFERRED TAX ASSET / (LIABILITY) (CONTD...)		
Deferred tax asset	(41,731,909)	(74,915,015)
	<u>(41,731,909)</u>	<u>(74,915,015)</u>
Deferred tax assets, and income tax relates to the followings;		
Balance at the beginning of the year	(74,915,015)	56,474,473
Reversal during the year - profit and loss	22,785,813	(69,070,887)
Reversal during the year - other comprehensive income	10,397,293	(62,318,601)
Balance at the end of the year	<u>(41,731,909)</u>	<u>(74,915,015)</u>
Deferred tax arising from		
Accelerated depreciation for tax purpose		
Property and equipment	(41,125,006)	(41,737,173)
Leased assets	-	(4,063,849)
ROU asset & lease liability	4,746,784	3,413,243
Provision for impairment	89,557,644	72,109,785
Revaluation of investment property	(39,885,792)	(36,555,791)
Revaluation reserve on lands	(97,020,416)	(97,020,415)
Post employment retirement benefits	41,939,171	28,070,111
Financial assets - FVTPL & FVTOCI	55,705	869,075
	<u>(41,731,909)</u>	<u>(74,915,015)</u>

33. DUES TO BANKS AND OTHER BORROWINGS

Dues to banks and other financial institutions include bank overdrafts and long term and short term loans obtained from banks and other financial institutions. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognised in the statement of profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Bank overdrafts	-	-
Securitised borrowings and other banking facilities	-	723,726,558
Total	<u>-</u>	<u>723,726,558</u>

34. DEPOSITS FROM CUSTOMERS - FINANCIAL LIABILITIES MEASURED AT AMORTISED COST

Deposits from customers include fixed deposits. Subsequent to initial recognition, these are measured at their amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognised in the statement of profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Fixed deposits	15,536,583,547	14,541,489,433
Savings deposits	12,292,840	11,360,868
	<u>15,548,876,387</u>	<u>14,552,850,301</u>
Contractual maturity analysis of fixed deposits		
Within one year	10,792,682,162	9,787,602,588
1- 5 years	4,756,194,224	4,765,247,713
	<u>15,536,583,547</u>	<u>14,541,489,433</u>

35. TRADE AND OTHER PAYABLES

Other financial liabilities are recognised initially at fair value and subsequently measured at amortised cost using the effective interest rate method. Trade payables are obligations to pay for vehicle suppliers in the ordinary course of business.

Company classifies all non-financial liabilities other than post employment benefit liability and current tax liabilities and trade payables under other non-financial liabilities. Other non-financial liabilities include accruals, advances and provisions. These liabilities are non-interest bearing and recorded at the amounts that are expected to be paid.

Lease liability

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date,

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Trade payables (Note 35.1)	705,180,450	297,460,026
Other payables	219,303,697	133,279,585
Lease liability (Note 35.2)	149,861,908	85,018,987
	<u>1,074,346,055</u>	<u>515,758,598</u>

35.1 Trade payables

Purchase creditors	481,405,033	135,436,805
Accrued expenses	223,775,417	162,023,221
	<u>705,180,450</u>	<u>297,460,026</u>

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
35. TRADE AND OTHER PAYABLES (CONTD...)		
35.2 Lease liability		
Balance at the beginning of the year	85,018,987	88,688,512
Additions	98,781,455	29,893,942
Accretion of interest	22,212,369	13,826,032
Payments	(56,150,903)	(47,389,499)
Balance at the end of the year	149,861,908	85,018,987

Sensitivity analysis of lease liability

The following table illustrates the impact arising from the possible changes in the incremental borrowing rate on the lease liability of the Company.

	2024/2025		2023/2024	
Increase/ (decrease) in incremental borrowing rate	1bp Up	1bp Down	1bp Up	1bp Down
Sensitivity effect on lease liability increase/ (reduction) in the liability	(23,473)	23,482	(12,828)	12,832
Sensitivity effect on interest expense increase/ (reduction) in profits for the year	(954)	952	(6,462)	6,463

	As at 31.03.2025		As at 31.03.2024	
	Contractual maturity analysis of lease liability Rs.	Undiscounted maturity analysis of lease liability Rs.	Contractual maturity analysis of lease liability Rs.	Undiscounted maturity analysis of lease liability Rs.
Within one year	41,469,059	54,739,379	25,453,331	34,219,403
1- 5 years	108,392,849	143,079,136	59,565,655	80,079,938
	149,861,908	197,818,514	85,018,987	114,299,341

36. CURRENT TAX LIABILITY

The Company is subject to income tax and other tax including VAT on financial services. Significant judgment is required to determine the total provision for current, deferred and other taxes. Uncertainty exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The Company recognised assets and liabilities for current deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters are different from the amounts to that of initially recorded, such differences will impact the income, deferred tax amounts in the period in which the determination is made.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
36. CURRENT TAX LIABILITY (CONTD...)		
Opening balance	103,998,753	138,954,930
Income tax expense for the year	523,644,680	159,297,269
Payment of income tax	(227,526,198)	(194,253,446)
	<u>400,117,235</u>	<u>103,998,753</u>

37. RETIREMENT BENEFIT OBLIGATIONS

The Company measures the present value of the promised retirement benefits for gratuity, which is a retirement benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.

Provision has been made for retirement gratuities from the beginning of service for all employees, in conformity with Sri Lanka Accounting Standard LKAS 19 on 'Employee Benefit'. However, under the Payment of Gratuity Act No 12 of 1983, the liability to an employee arises only on completion of five years of continued service.

Recognition of actuarial gains and losses

The Company recognises the total actuarial gains and losses that arise in calculating the Company's obligation in respect of the plan in statement of comprehensive income during the period in which it occurs.

Funding arrangements

The gratuity liability is not externally funded.

Retirement benefit obligations

The cost of the retirement benefit obligation is determined using actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases, mortality rates and future gratuity increases. Due to the long term nature of such obligation, these estimates are subjected to significant uncertainty. All assumptions are reviewed at each reporting date.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
Balance as at beginning of the year	93,567,035	66,674,596
Amount recognised in statement of profit or loss	23,890,469	19,864,293
Actuarial (gain) / loss	33,752,731	9,882,146
Benefits paid	(11,413,000)	(2,854,000)
Balance as at the end of the year	<u>139,797,235</u>	<u>93,567,035</u>
Amount recognised in statement of profit or loss		
Current service cost	12,288,157	9,196,358
Net interest on the net retirement benefit liability	11,602,312	10,667,935
	<u>23,890,469</u>	<u>19,864,293</u>

37. RETIREMENT BENEFIT OBLIGATIONS (CONTD...)

An actuarial valuation of the retirement benefit obligation was carried out as at 31 March 2025 by Actuarial & Management Consultants (Pvt) Ltd a firm of professional actuaries. The valuation method used by the actuaries to value the liability is the 'Projected Unit Credit (PUC)', the method recommended by the Sri Lanka Accounting Standard-LKAS 19 on 'Employee Benefits'.

	As at 31.03.2025	As at 31.03.2024
Actuarial assumptions		
Discount rate	10.6%	12.4%
Future salary increment rate	10.0%	7.5%
Mortality	1967/ 70	1967/ 70
Retirement age	60 years	55 years

Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measures.

The sensitivity of the statement of comprehensive income and the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

	As at 31.03.2025 Effect on RBO - Increase/ (reduction) in the liability Rs.	As at 01.04.2024 Effect on RBO - Increase/ (reduction) in the liability Rs.
1% Increase in discount rate	(6,298,916)	(4,004,828)
1% decrease in discount rate	6,853,039	4,340,086
1% Increase in salary increment	7,439,538	4,927,916
1% decrease in salary increment	(6,949,759)	(4,608,385)

Information about maturity profile of the defined benefit obligation

	As at 31.03.2025 Rs.	As at 01.04.2024 Rs.
Within the next 12 months	17,370,768	14,417,437
Between 1-2years	33,713,601	18,939,910
Between 2-5 years	28,417,339	24,747,160
Between 5-10 years	50,027,093	30,046,642
Beyond 10 years	10,268,434	5,415,886
Total	139,797,235	93,567,035

Weighted Average duration of Defined Benefit Obligation is 5.2 years.

	As at 31.03.2025		As at 31.03.2024	
	No. of shares	Value of the shares - Rs.	No. of shares	Value of the shares - Rs.
38. STATED CAPITAL				
Ordinary shares				
Issued and fully paid-ordinary shares	113,327,268	611,273,941	113,327,268	611,273,941
Reconciliation:				
At the beginning of the year	113,327,268	611,273,941	113,327,268	611,273,941
	113,327,268	611,273,941	113,327,268	611,273,941
At the end of the year	113,327,268	611,273,941	113,327,268	611,273,941

Rights of shareholders

The holders of ordinary shares have the right to receive dividends as and when they are declared from time to time and they are entitled to one vote per share at meetings. All shares rank equally with regard to the Company's residual assets.

	As at 31.03.2025 Rs.	As at 31.03.2024 Rs.
39. RETAINED EARNINGS		
Balance at the beginning of the year	2,286,168,002	2,018,644,749
Profit for the year	750,098,461	318,283,852
Other comprehensive income for the year	(23,626,912)	(12,846,790)
Transfers from/to reserve funds	109,685,346	(37,913,810)
Balance at the end of the year	3,122,324,896	2,286,168,002

Retained earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future losses or dividends payable.

	Capital reserve Rs.	General reserve Rs.	Statutory reserve fund Rs.	Fair value reserve Rs.	Regulatory loss allowance reserve Rs.	Revaluation reserve Rs.
40. OTHER RESERVES						
Balance as at 01 April 2024	32,864,774	1,029,052	129,524,500	15,739,787	133,788,272	31,982,185
Transfers during the year	-	-	37,504,924	(14,802,700)	(133,788,272)	-
Balance as at 31 March 2025	<u>32,864,774</u>	<u>1,029,052</u>	<u>167,029,424</u>	<u>937,087</u>	<u>-</u>	<u>31,982,185</u>

‘General Reserve’ represents the amounts set aside by the Directors for general application. The purpose of setting up the General Reserve is to meet the potential future unknown liabilities.

‘Statutory Reserve Fund’ was created during the year 2007 in accordance with the Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. Accordingly 5% of the net profit for the period is transferred to the Statutory Reserve Fund during the financial year.

‘Regulatory Loss allowance Reserve’ was created as at 31 March 2023 in accordance with the Finance Business Act Direction No.1 of 2020 issued by Central Bank of Sri Lanka.

41. CONTINGENT LIABILITIES AND COMMITMENTS

Commitments and contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard- LKAS 37 on ‘Provisions, contingent liabilities and contingent assets’. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless its occurrence is remote.

The Company has no commitments for acquisition of property, plant and equipment, intangible assets incidental to the ordinary course of business as at 31 March 2025 (31 March 2024 - Nil).

Legal claims

Litigation is a common occurrence in the finance industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Company makes adjustments to account for any adverse effects which the claims may have on its financial standing. At the reporting date the Company had several unresolved legal claims. The significant unresolved legal claims against the Company for which legal advisor of the Company advised as the loss is possible, but not probable, that the action will succeed. Accordingly, no provision for any claims has been made in these financial statements.

Tax assessment

As per the notice of assessment issued by the Department of Inland Revenue dated 30.05.2017, 25.05.2018 and 29/05/2024 the Company has to make an additional Income tax payment for the years of assessment 2014/2015, 2015/2016 and 2020/2021 amounting to Rs. 28,402,545.00, Rs. 34,528,935.85 and Rs.30,977,446 respectively.

In regard this, the Company has already appealed against the notice of assessments and objected against the taxes in default notices and management of the Company is confident that there will be no further tax payments.

42. EVENTS AFTER THE REPORTING PERIOD

42.1 Proposed debenture Issue subsequent to the reporting date

Board of Directors of Associated Motor Finance Company PLC (“the Company”), has resolved on 26th March 2025 to issue Seven Million Five Hundred Thousand (7,500,000) Listed Rated Unsecured Subordinated Redeemable High Yield Bonds, with an option to issue up to a further Five Million (5,000,000) of said High Yield Bonds at the discretion of the Company in the event of an oversubscription of the Initial Issue. As such a maximum amount of Rupees One Thousand Two Hundred and Fifty Million (LKR 1,250,000,000/-) would be raised by the issue of maximum of Twelve Million Five Hundred Thousand (12,500,000) Bonds, each amounting to LKR 100/-.

There have been no other material events occurring after the statement of financial position date that require adjustment or disclosure in the financial statements.

43. RELATED PARTY DISCLOSURE

43.1 Parent and ultimate controlling party

The Company does not have an identifiable parent of its own.

43.2 Transactions with key management personnel (KMP) and their family members

As per the Sri Lanka Accounting Standard (LKAS -24) - "Related Party Disclosures", the KMPs include those who are having authority and responsibility for planning, directing and controlling the activities of the Company. Accordingly, the Board of Directors of the Company, immediate parent Company and members of the Corporate Management of the Company have been classified as KMPs of the Company.

The Company carries out its transactions with KMPs & their close family members in the ordinary course of its business basis at commercial rates.

Transactions with key management personnel and their close family members

Remuneration to key management personnel

	2024/2025 Rs.	2023/2024 Rs.
Remunerations to Board of Directors		
Short term employees benefits	229,841,875	192,349,384
Director fee	20,650,000	18,000,000
Remuneration to Corporate Management		
Short term employees benefits	62,078,299	47,513,355
Post employment benefits	1,980,000	-
Share transactions with key management personnel		
No. of ordinary shares held	48,929,736	48,929,736

Transactions, arrangements and agreements involving key management personnel (KMPs), their close family members (CFMs) and other related entities

Board of Directors & their close family members		Corporate Management & their close family members		Total	
2024/2025 Rs.	2023/2024 Rs.	2024/2025 Rs.	2023/2024 Rs.	2024/2025 Rs.	2023/2024 Rs.

Items in Statement of Profit or Loss

Interest income	-	-	291,377	-	291,377	-
Interest expense	18,217,454	21,615,793	3,973,446	4,785,314	22,190,900	26,401,107
Rent expense	21,194,608	16,539,533	-	-	21,194,608	16,539,533

Items in Statement of Financial Position

Assets - Loans and receivables	-	-	825,985	-	825,985	-
Liabilities - Dues to customers	97,507,818	97,927,320	19,069,049	27,481,213	116,576,867	125,408,533

43. RELATED PARTY DISCLOSURE (CONTD...)

43.3 Transactions with related entities

The Company carried out the following transactions in the ordinary course of business on an arm's length basis with the parent company:

Name of the related party	Relationship	Nature of the transaction	Aggregate value of RPTs entered during the year Rs.	Aggregate value of RPTs as a % of Net income
Poltech (Ceylon) Company Ltd	Common Directors	Rent payments	25,083,743	0.8%
Imperial Import & Export Company (Pvt) Ltd	Common Directors	Fixed deposit	2,510,575	-
		Interest expense	201,165	0.01%
		Expenses	578,234	0.02%
LAK Kraft (Private) Limited	Common Directors	Fixed deposit	14,134,756	
		Interest expense	721,101	0.02%
Asian International (Pvt) Ltd	Common Directors	Fixed deposit	1,175,036	
		Interest expense	211,604	0.01%

44. RISK MANAGEMENT

44.1 Introduction

Risk is inherent in the Company's activities, but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities. The Company is primarily exposed to credit risk, liquidity risk and market risk. It is also subject to various operating risks.

Risk management structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles.

The Board has appointed a subcommittee, Integrated Risk Management (IRM) Committee, which has the responsibility to monitor the overall risk process within the Company.

The IRM Committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. The IRM Committee is responsible for managing risk decisions and monitoring risk levels and reports on a periodical basis to the Board.

44.2 Credit risk

Credit risk is the risk of financial loss to the Company if a borrower or counterparty to a financial instrument, fails to meet its contractual obligations, and arises principally from the Company's loans and advances to customers/other companies and investments in debt securities. Credit risk constitutes the Company's largest risk exposure category. This can be broadly categorised into three types; default, concentration and settlement risks.

Concentration risk is the credit exposure being concentrated as a result of excessive build-up of exposure to a single counterparty, industry, product, geographical location or insufficient diversification.

Settlement risk is the risk of loss arising from trading/investment activities when there is a mutual undertaking to deliver on a progressive basis.

44. RISK MANAGEMENT (CONTD...)

44.2.1 Analysis of credit risk exposure

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, vehicles, real estate and other non-financial assets. The fair value of collateral is generally assessed, at a minimum, during inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Maximum exposure to credit risk

The table below represents the company's maximum exposure to credit risk for its recognised and contingent financial instrument as at 31 March 2025, before taking into account any collateral held or other credit risk mitigation. For recognised instruments, the maximum exposure to credit risk is the carrying amount reported in the statements of Financial Position. For contingent instruments, the maximum exposure to credit risk generally represents the contractual notional amounts.

On Financial Position exposure collateral type wise

	31.03.2025		31.03.2024	
	Amortised cost Rs.	Net exposure Rs.	Amortised cost Rs.	Net exposure Rs.
Cash at banks (clean)	150,733,173	150,733,173	192,969,203	192,969,203
Treasury bills, Securities bought under repurchase agreements & term deposit	5,587,989,431	-	6,270,936,008	-
Loan and receivable - fixed deposit	303,555,892	-	304,937,274	-
Lease and loan receivable - others	123,801,914	122,109,410	16,095,748	12,970,368
Lease and loan receivable - properties	23,785,700	-	69,236,301	-
Lease and loan receivable - vehicles	14,405,719,767	-	12,138,192,276	225,717,999
	<u>20,595,585,877</u>	<u>272,842,583</u>	<u>18,992,366,810</u>	<u>431,657,570</u>

44.2.2 Credit quality by class of financial assets

The table below reflects the credit quality by the class of asset for all financial assets exposed to credit risk. The amounts presented are gross of impairment allowances.

	Neither past dues nor impairments*	Past dues and impairments	Individually impaired	Total
As at 31.03.2025	Rs.	Rs.	Rs.	Rs.
Financial assets				
Cash and bank balances	150,733,173	-	-	150,733,173
Financial assets - amortised cost	5,587,989,431	-	-	5,587,989,431
Loans and receivables	398,569,641	1,592,972	155,935,694	556,098,307
Lease receivables from customers	13,209,698,331	584,576,858	506,489,780	14,300,764,969
Financial assets - measured at FVOCI	11,046,206	-	-	11,046,206
	<u>19,358,036,782</u>	<u>586,169,830</u>	<u>662,425,475</u>	<u>20,606,632,086</u>

* These are considered for collective impairments under ECL.

44. RISK MANAGEMENT (CONTD...)

44.2.2 Credit quality by class of financial assets (contd...)

Definition of past due

The Company considers that any amounts uncollected on due dates or beyond the contractual date as 'past due'.

Age Analysis of past dues (i.e. facilities in arrears even by one day and above) loans and receivables by class of Financial Assets are given below.

Gross loan	< 3 months	> 3 & <= 6	> 6 & <=12	>12	Total
As at 31.03.2025					
Loans and advances	384,073,369	11,038,805	7,495,602	153,490,533	556,098,309
Finance lease receivable	12,115,047,458	930,359,379	446,704,568	808,653,559	14,300,764,964
As at 31.03.2024					
Loans and advances	431,170,193	40,630,726	22,168,605	306,501,755	800,471,279
Finance lease receivable	9,079,733,341	1,059,386,437	585,152,546	1,003,717,996	11,727,990,319

44.2.3 Concentration of credit risk

The risk of loss due to the concentration of credit risk to a specific product, asset class, sector or counterparty. Credit concentration risk is managed within limits set for counterparty, asset types, industry sectors, etc., Credit concentrations are monitored by IRMC and ALCO in each of the product type categories and such limits as material to the company are reviewed accordingly.

The company monitors concentration of credit risk by geographic location and by sector.

Top 20 concentration of lending portfolio

	31.03.2025		31.03.2024	
	Rs.	%	Rs.	%
Top 20	230,636,449	1.55%	322,489,168	2.57%
Balance portfolio	14,626,226,824	98.45%	12,205,972,431	97.43%
Total portfolio	14,856,863,273	100%	12,528,461,599	100%

Geographical analysis of the lending portfolio

	31.03.2025		31.03.2024	
	Rs.	%	Rs.	%
Province				
Western Province	5,976,238,352	40.23%	5,227,987,283	41.73%
North Western	2,575,431,885	17.33%	2,102,594,207	16.78%
Southern Province	2,364,723,143	15.92%	1,739,009,330	13.88%
Central Province	1,040,616,137	7.00%	1,050,712,738	8.39%
North Central Province	1,306,829,701	8.80%	1,102,681,666	8.80%
Sabaragamuwa Province	667,302,813	4.49%	520,518,769	4.15%
Uva Province	576,267,975	3.88%	487,571,645	3.89%
Northern Province	290,578,249	1.96%	250,301,285	2.00%
Eastern Province	58,875,017	0.40%	47,084,674	0.38%
Total portfolio	14,856,863,273	100%	12,528,461,599	100%

44. RISK MANAGEMENT (CONTD...)

44.2.3 Concentration of credit risk (Contd...)

Sector wise concentration of the lending portfolio

Sector	31.03.2025		31.03.2024	
	Rs.	%	Rs.	%
Services	1,528,042,061	10.29%	1,749,634,722	13.97%
Agriculture	1,757,865,620	11.83%	1,182,690,857	9.44%
Trade	2,530,654,767	17.03%	1,414,420,482	11.29%
Others	4,089,795,229	27.53%	5,887,688,286	46.99%
Transport	598,314,971	4.03%	267,072,757	2.13%
Industry	2,955,350,584	19.89%	1,414,825,263	11.29%
Construction	723,843,025	4.87%	360,539,509	2.88%
Tourism	672,997,016	4.53%	251,589,723	2.01%
Total portfolio	14,856,863,273	100%	12,528,461,599	100%

44.3 Liquidity risk and funding management

Liquidity risk is defined as the risk that the Company will encounter in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset. Liquidity risk arises because of the possibility that the Company might be unable to meet its payment obligations when they fall due under both normal and abnormal circumstances. To limit this risk, management has arranged diversified funding sources in addition to its deposit base, and adopted a policy of managing assets with liquidity in mind and monitoring future cash flows and liquidity on a daily basis.

The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the Company regularly analyses and monitors its liquidity positions and, maintains an adequate margin of safety in liquid assets.

Further the Company is maintaining its assets in the form of Sri Lankan government treasury bills and government securities equivalent to 7.5% of the average of its month end total deposit liabilities and unsecured borrowings of the 12 months preceding financial year.

44. RISK MANAGEMENT (CONTD...)

44.3.1 Analysis of financial assets and liabilities by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities as at 31 March 2025:

	On demand	Less than 03 months	03 - 12 months	01 - 05 years	Over 05 years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest earning assets						
Cash and bank balances	55,818,778	94,914,395	-	-	-	150,733,173
Financial assets - amortised cost	-	5,267,699,658	314,864,514	-	5,425,259	5,587,989,431
Loans and receivables (gross)	311,304,942	36,597,680	105,596,935	89,313,523	13,285,226	556,098,306
Lease rentals receivables (gross)	237,029,668	1,776,038,839	5,360,005,981	6,927,690,481	-	14,300,764,969
Financial assets - measured at FVOCI	-	-	-	-	11,046,205	11,046,205
Total Interest earning assets	604,153,388	7,175,250,571	5,780,467,430	7,017,004,005	29,756,690	20,606,632,084
Non interest earning assets						
Property, equipment and right-of-use of assets	-	-	-	-	1,187,542,565	1,187,542,565
Intangible assets	-	-	-	-	11,180,815	11,180,815
Goodwill	-	-	-	385,244,360	-	385,244,360
Other assets	-	25,819,384	14,438,506	9,139,200	19,808,569	69,205,659
Investment properties	-	-	-	161,100,000	-	161,100,000
Total non-interest earning assets	-	25,819,384	14,438,506	555,483,560	1,218,531,949	1,814,273,399
Total Assets	604,153,388	7,201,069,955	5,794,905,936	7,572,487,565	1,248,288,639	22,420,905,483
Percentage	3%	32%	26%	34%	6%	100%
Interest bearing liabilities						
Dues to customers	12,292,840	5,764,095,528	5,016,293,794	4,756,194,224	-	15,548,876,386
Other financial liabilities	-	705,180,450	-	-	-	705,180,450
Total interest bearing liabilities	12,292,840	6,469,275,978	5,016,293,794	4,756,194,224	-	16,254,056,836
Non interest bearing liabilities						
Retirement benefit obligations	-	4,342,692	13,028,076	62,130,940	60,295,527	139,797,235
Current tax liability	-	-	400,117,235	-	-	400,117,235
Deferred tax liability	-	-	41,731,909	-	-	41,731,909
Other liabilities	-	178,351,139	35,630,662	108,392,849	46,111,330	368,485,980
Total non-interest bearing liabilities	-	182,693,831	490,507,882	170,523,789	106,406,857	950,132,359
Total liabilities	12,292,840	6,651,969,809	5,506,801,676	4,926,718,013	106,406,857	17,204,189,195
Percentage	0%	39%	32%	29%	0.62%	100%

44. RISK MANAGEMENT (CONTD...)

44.3.1 Analysis of financial assets and liabilities by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities as at 31 March 2024:

	On demand	Less than 03 months	03 - 12 months	01 - 05 years	Over 05 years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest earning assets						
Cash and bank balances	50,115,561	142,853,642	-	-	-	192,969,203
Financial assets - amortised cost	-	5,799,690,260	465,901,345	-	5,344,403	6,270,936,008
Financial assets - measured at FVTPL	-	-	-	-	26,534,372	26,534,372
Loans and receivables (gross)	341,961,374	333,294,537	42,534,721	69,303,566	13,377,082	800,471,279
Lease rentals receivables (gross)	147,022,973	1,025,438,034	5,516,512,309	5,039,017,003	-	11,727,990,319
Financial assets - measured at FVOCI	-	-	-	-	37,096,782	37,096,782
Total interest earning assets	539,099,907	7,301,276,474	6,024,948,374	5,108,320,569	82,352,640	19,055,997,964
Non interest earning assets						
Property, equipment and right-of-use of assets	-	-	-	-	1,120,205,526	1,120,205,526
Intangible assets	-	-	-	-	14,595,724	14,595,724
Goodwill	-	-	-	385,244,360	-	385,244,360
Other assets	-	22,123,989	21,411,189	5,039,579	20,451,066	69,025,824
Investment properties	-	-	-	150,000,000	-	150,000,000
Total non-interest earning assets	-	22,123,989	21,411,189	540,283,939	1,155,252,317	1,739,071,434
Total Assets	539,099,907	7,323,400,463	6,046,359,564	5,648,604,508	1,237,604,957	20,795,069,399
Percentage	3%	35%	29%	27%	6%	100%
Interest bearing liabilities						
Dues to banks	-	-	723,726,558	-	-	723,726,558
Dues to customers	11,360,868	5,174,535,081	4,601,706,639	4,765,247,713	-	14,552,850,301
Other financial liabilities	-	297,460,026	-	-	-	297,460,026
Total interest bearing liabilities	11,360,868	5,471,995,107	5,325,433,197	4,765,247,713	-	15,574,036,885
Non interest bearing liabilities						
Retirement benefit obligations	-	-	-	-	93,567,035	93,567,035
Current tax liability	-	103,998,753	-	-	-	103,998,753
Deferred tax liability	-	-	-	74,915,015	-	74,915,015
Other liabilities	-	8,646,617	26,466,051	59,963,139	123,222,765	218,298,572
Total non-interest bearing liabilities	-	112,645,370	26,466,051	134,878,154	216,789,800	490,779,375
Total liabilities	11,360,868	5,584,640,478	5,351,899,248	4,900,125,867	216,789,800	16,064,816,260
Percentage	0%	35%	33%	31%	1%	100%

44. RISK MANAGEMENT (CONTD...)

44.3.2 Liquidity reserves

The following table sets out the components of the Company's liquidity reserves.

	31.03.2025		31.03.2024	
	Carrying amount Rs.	Fair Value Rs.	Carrying amount Rs.	Fair Value Rs.
Cash in hand	55,818,778	55,818,778	50,115,562	50,115,562
Balances with banks	94,914,395	94,914,395	142,853,641	142,853,641
Repo / Tb investments - less than 3 months	5,267,699,658	5,279,899,700	5,382,149,782	5,405,541,876
Repo/ TB investments - more than 3 month	302,890,652	306,053,544	176,828,339	184,041,964
Investments in fixed deposits	11,973,862	11,973,862	214,974,276	214,974,276
	<u>5,733,297,345</u>	<u>5,748,660,280</u>	<u>5,966,921,600</u>	<u>5,997,527,319</u>

44.4 Market risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates and equity prices. Company classifies exposures to market risk into either trading or non-trading portfolios and manages each of those portfolios separately.

44.4.1 Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's long-term debt obligations with floating interest rates. The Company policy is to continuously monitor interest rates on regular basis. The Company manages its interest rate risk by having a balanced portfolio of fixed and variable rate financial assets and financial liabilities.

The following table demonstrates the sensitivity of the Company's statement of profit or loss for the year ended 31 March 2025 to a reasonable possible change in interest rates, with all other variable constant.

	31.03.2025 Rs.	31.03.2024 Rs.
Assets	-	-
Liabilities	-	-
Impact on Statement of Profit or Loss due to interest rate variations		
+0.5%	-	-
-0.5%	-	-

44.4.2 Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. Company has no investment and no borrowing in foreign currency and there is no material currency risk for the Company.

44. RISK MANAGEMENT (CONTD...)

44.4.3 Equity price risk

The sensitivity analysis for equity risk reflects how changes in the fair value of equity securities at the reporting date will fluctuate in response to assumed changes in equity market prices. The movements in the fair value of equity securities monitored by assessing the projected changes in the fair value of equity securities held by the portfolios in response to assumed equity price movements of +/- 1%.

	2024/2025			2023/2024		
1% increase/ decrease in equity market prices	Carrying value Rs.	Profit before tax Rs.	Other comprehensive income Rs.	Carrying Value Rs.	Profit before tax Rs.	Other comprehensive income Rs.
Financial assets - measured at FVTPL	-	-	-	265,344	265,344	-
Financial assets - measured at FVOCI	110,462	-	110,462	370,968	-	370,968

44.5 Operational risk

Operational risk is the risk of loss arising from systems failure, human error, fraud or external events. When controls fail to operate effectively, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss.

Operational risk of the Company are managed through a Board approved operational risk management policy control framework which consists of monitoring and responding to potential risks.

44.6 Capital adequacy risk

For a financial institution, capital is a buffer against insolvency. It is available to absorb unforeseen losses so the Company can remain in business. The more capital the Company has relative to the risks it takes, the more confidence the stakeholders are that it will meet its obligations to them. Capital adequacy risk arises from Company's inability to maintain the required amount of capital which is perceived to be adequate to absorb the risk.

As per the Finance Business Act Direction No 3 of 2018, the Licensed Finance Companies (LFCs) with assets less than Rs. 100 Bn is required to maintain a minimum Capital Adequacy Ratio (CAR) of 12.5% and a Core Capital Ratio (Tier 1) of 8.5% from 01 July 2022 onwards and Business Act direction No 2 of 2017 required every Licensed Finance Company to maintain minimum core capital at not less than Rs. 2.5 billion with effect from 1 January 2021.

As of 31 March 2025, the core capital of the company is Rs.3.84 Bn, and the Company's T1 and T2 ratios are 18.96% and 19.24% respectively. Accordingly, the company has met the minimum core capital requirement with Tier 1 & 2 ratios as of 31 March 2025.